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August 11, 1995

To: Members of the Executive Board

From: The Secretary

Subject: Chad - Request for Arrangements Under the  
Enhanced Structural Adjustment Facility

Attached for consideration by the Executive Directors is a request from Chad for arrangements under the enhanced structural adjustment facility. This subject, together with the policy framework paper for Chad (to be issued shortly), is tentatively scheduled for discussion on Friday, September 1, 1995. A draft decision appears on page 16.

Mr. Riechel (ext. 34548), Mr. Tchatchouang (ext. 38428), or Mr. Cossé (ext. 38731) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the African Development Bank (AfDB) and the European Commission (EC), following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

CHAD

Request for Arrangements Under the Enhanced  
Structural Adjustment Facility

Prepared by the African Department

(In consultation with the Legal, Monetary and  
Exchange Affairs, Policy Development and Review,  
Statistics, and Treasurer's Departments)

Approved by Christian Brachet and Chanpen Puckahtikom

August 10, 1995

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## I. Introduction

In the attached letter to the Managing Director dated August 8, 1995, the Government of Chad requests a three-year arrangement under the enhanced structural adjustment facility (ESAF) in an amount equivalent to SDR 49.56 million (120 percent of quota), and the first annual arrangement thereunder, amounting to SDR 16.52 million (40 percent of quota). The requested arrangements are in support of Chad's macroeconomic and structural adjustment program set out in the medium-term policy framework paper (PFP), which was prepared in collaboration with the staffs of the Fund and the World Bank (to be issued). <sup>1/</sup> The policy measures for the period July 1, 1995-June 30, 1996 are described in the attached memorandum on economic and financial policies--MEFP (Appendix II).

The Fund and the World Bank staffs have worked together closely on Chad. <sup>2/</sup> The World Bank Group is supporting Chad's adjustment effort with an Economic and Financial Management Project (GEF) for US\$10 million, which focuses on public institution building and reform, and technical assistance. It is also preparing two structural adjustment credits (SAC I and II) of US\$40 million each, the first of which is expected to be approved later in 1995.

At the end of June 1995, Chad's outstanding use of Fund resources amounted to SDR 26.9 million, equivalent to 65.0 percent of quota. Assuming full disbursement of the loans under the proposed three-year ESAF arrangement, and taking into account repayments and repurchases due during the three-year arrangement period on previous SAF loans and purchases under the 1994 stand-by arrangement, Chad's financial obligations to the Fund would amount to 139.7 percent of quota at end-June 1998 (Appendix I, Table 1).

Chad continues to avail itself of the transitional arrangements of Article XIV. However, as a member of the Central African Economic and Monetary Community, it maintains an exchange system that is free of restrictions on the making of payments and transfers for current international transactions. The 1994 Article IV consultation was concluded on February 17, 1995.

The quality, coverage, and timeliness of statistical information in Chad remains poor and will be the subject of technical assistance over the period foreseen for the ESAF arrangement. Statistical issues in Chad have been discussed most recently in SM/95/21, Appendix IV.

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<sup>1/</sup> The mission that visited N'Djaména during the period May 13-28, 1995 consisted of Mr. Riechel (head), Mr. Tchatchouang, Mr. Cossé, Mr. Driessen, and Miss Casaromani (administrative assistant), all AFR. Mr. Obame, Advisor to the Executive Director for Chad, participated in the policy discussions. Discussions were held with the Minister of Finance and the other members of the High Interministerial Committee in charge of economic and structural adjustment programs. The mission also met with the Prime Minister, Mr. Koibla Djimasta.

<sup>2/</sup> Chad's relations with the Fund and the World Bank Group are summarized in Appendices III and IV, respectively.

## II. Background and Recent Economic Developments

After several years during which the dialogue between Chad and the Fund and World Bank was constrained by domestic political instability, operational support to Chad was re-established in connection with the economic adjustment program that was adopted in the aftermath of the devaluation of the CFA franc in January 1994. The principal objective of the program was to ensure that the price and incentive effects of the exchange rate action would be accompanied by appropriate measures to achieve a lasting improvement in competitiveness and growth (Appendix I, Table 2). In support of the program, the Fund approved on March 23, 1994 a 12-month stand-by arrangement (SBA) in an amount equivalent to SDR 16.52 million (40 percent of quota), and the IDA approved an Economic Recovery Credit of US\$20 million.

Implementation of the 1994 program encountered problems shortly after its inception and only the first purchase under the SBA was made. Strikes of civil servants calling for the resumption of salary payments and settlement of salary arrears crippled the administration and halted revenue collection. Transit problems in northern Cameroon sharply reduced imports, thereby curtailing customs revenue and fueling inflation. These problems were exacerbated by an insufficient initial commitment to reforms, weaknesses in administration, and shortcomings in economic policy implementation. As a result, several performance criteria for end-June 1994, including notably those on revenue collection, were missed (Appendix I, Table 3). To bring policies back on track and establish a record of policy implementation, a staff-monitored program (SMP) was developed for the period October 1994-June 1995. The program sought to strengthen revenue performance and to broaden and deepen the structural adjustment effort, including through the implementation of an extensive FAD-supported program of indirect tax and customs tariff measures consistent with the reforms agreed at the regional level within the framework of the Central African's Economic and Customs Union (UDEAC). <sup>1/</sup>

Overall, the economy has responded positively to the improvement in competitiveness that followed the devaluation and, more recently, to the firming up of the policy environment associated with the program (Appendix I, Table 2). Performance was also helped by a more propitious external environment (increase in cotton prices) and satisfactory rainfalls. In the event, five years of economic stagnation have given way to real GDP growth of some 5 1/4 percent in 1994, and a similar outcome is expected during 1995-96; after an initial surge, inflation has been declining sharply since mid-1994, and the external current account deficit (excluding official transfers) has been cut by almost 5 percentage points of GDP to

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<sup>1/</sup> A complete list of acronyms is contained in the accompanying PFP.

22 3/4 percent of GDP. 1/ At the same time, strengthened commitment and improved management of economic policy have resulted in a much improved design and implementation of economic reforms.

The results of this turnaround in commitment, economic policies, and external conditions have been reflected in Chad's encouraging performance from mid-1994 under the staff-monitored program (Appendix I, Table 3). The strong improvement in revenue collection has reversed the deterioration in the current primary deficit of the public finances, which would have reached 9 percent of GDP on the basis of revenue performance during the first half of the year, instead of the 6 percent ultimately recorded. The increase in revenue has also allowed for the resumption of critical government spending and permitted the partial settlement of payments arrears to domestic suppliers and civil servants. Similarly, full implementation of the structural measures called for by the staff-monitored program has advanced fiscal reform, supported competitiveness, and reduced the need for subsidization of public enterprises. In recognition of the progress made since mid-1994, Chad was in February 1995 granted by its Paris Club creditors the rescheduling of its eligible stock of payments arrears at end-March 1994 and debt service payments for the period April 1994-March 1995. 2/

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1/ Balance of payments developments, foreign reserves, and monetary growth in 1994/95 were affected by a number of exceptional factors. In the first nine months of 1994, the constraints on imports mentioned earlier, combined with the effects of the devaluation on export earnings, inward transfers and capital repatriation, and the inflow of foreign program assistance boosted Chad's contribution to the foreign reserve position of the BEAC, the regional Central Bank, from CFAF 8.5 billion in December 1993 (adjusted) to CFAF 46 billion in September 1994, and raised year-on-year money growth for September to 75 percent. This trend was reversed in late 1994 and early 1995 by a strong increase in imports, an unusually large cyclical lag between payments for fertilizer imports and the repatriation of cotton export earnings, and increasing transfers abroad, including by Nigerian residents. All these factors resulted in a sharp and sudden drop in both money and net foreign assets. The magnitude of these recorded movements, however, may be exaggerated by the increase in the stock of unsorted currency notes (billets non-triés) at the Central Bank, which implied an underrecording of both currency in circulation and net foreign assets of Chad to the extent that this stock included currency notes of other BEAC member countries. The tables on monetary developments attempt to correct for these technical factors from 1994 onward.

2/ Debt relief was granted through a terms of reference flow rescheduling, on Naples terms, with a 67 percent reduction in net present value terms of the consolidated obligations (excluding previously rescheduled debt service).

### III. Adjustment Program for 1995-98

#### 1. Overview

The authorities emphasized that they viewed economic reform as an integral element of Chad's move toward a pluralistic form of government. <sup>1/</sup> Particular attention would hence be given to the development of private initiative and a further liberalization of the economy. In this context, the conclusion of a medium-term economic adjustment program that could be supported by the Bretton Woods institutions was accorded a high priority. At the same time, the authorities pointed to the severe constraints--physical and financial--that they were facing. Already one of the poorest countries in the world, Chad had suffered from recurrent internal conflicts and a growing erosion of donor confidence and support. The related weaknesses in general administration and economic management had been evident in the early stages of the 1994 program. Since then, considerable progress had been made because the formulation of a coherent economic program, coupled with a resumption of adjustment financing, had permitted them to relaunch the economy and invigorate public administration. To enhance confidence at home and abroad in the authorities' commitment to sound economic management, it was important to sustain the momentum of adjustment and performance that had emerged. To that end, they were determined to take strong, broad-based, and front-loaded action. At the same time, they pointed to the need for appropriate external financing and technical assistance in support of the program.

#### 2. Adjustment strategy and policy objectives

Against this background, program discussions, as detailed in the PFP and in the accompanying MEFP, focused on: (i) maintaining macroeconomic stability to foster private sector development, safeguard external competitiveness, strengthen the saving-investment balance, and protect the vulnerable groups in society from high and variable inflation; (ii) improving the functioning of public administration, with emphasis on the efficiency and transparency of public sector financial management; (iii) reinforcing the revenue departments, to provide for adequate domestic resource mobilization; (iv) revitalizing the private sector and strengthening the response mechanisms of the economy through privatization, price and trade liberalization, easing of market access, and a streamlining of the regulatory environment; and (v) defining clear spending priorities, with a view to raising investment in human and physical capital. The discussions also sought to identify

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<sup>1/</sup> The electoral calendar has recently been firmed up by the Independent National Election Commission for the presidential (February 11/March 3, 1996) and legislative elections (April 28/May 19, 1996). The cost of the electoral process, including a voter census, a referendum on the new constitution, and the elections themselves, is estimated at CFAF 3.6 billion, of which so far some CFAF 2.2 billion is expected to be covered by the UNDP. Given its exceptional nature, this cost and its financing are excluded from the public finance tables.



areas where the design and implementation of economic reforms might benefit from technical assistance and training (Appendix I, Table 4), as well as areas in which preparatory work could usefully be initiated for future structural reforms.

The authorities were confident that the simultaneous pursuit of macro-economic stability and structural reform would result in a significant improvement in economic performance, provided that the security situation could be kept stable and social peace preserved. Continued and visible improvement in economic conditions was therefore essential. Their objective for the period 1995-98 was to achieve an average growth rate of real GDP of 5 percent, so that, after many years of decline, per capita income could grow again. 1/ Prospects for such gains would undoubtedly further strengthen supply incentives, and thereby contribute to the reduction in inflation to the target range of 3-5 percent. Inflation control would also benefit from trade liberalization and a more general opening up of markets, not least because these measures would tend to cushion the impact of planned price liberalization.

Macroeconomic stabilization is to be pursued through a reduction of public and private dissaving. Over the program period, the share of consumption in GDP is to be brought down to roughly the level of GDP compared with an average share in GDP of more than 110 percent during 1992-93 (Appendix I, Table 5). 2/ Despite pressing spending needs, the program calls for public sector domestic dissaving to fall by some 6 percentage points, to less than 1 percent of GDP in 1998, thereby about offsetting a prospective parallel decline in exceptional external financing. Private sector domestic dissaving is also to decline, albeit by less than in the public sector because of the relative incompressibility of per capita consumption, one of the lowest in the world, and because the programmed increase in the tax/GDP ratio and the prospective deterioration in the terms of trade will curtail the scope for a rapid improvement in saving generation. Nevertheless, as confidence in the domestic economy rises and investment opportunities increase in the country, net private transfers are expected to turn around and boost private sector financial resources and investment. Together with the expected increase in public investment, this development is projected substantially to increase the country's medium-term growth potential and employment opportunities. Although Chad's dependency on foreign savings would remain high at the end of the program period in

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1/ The detailed macroeconomic and fiscal objectives for the first program year are spelled out in paragraphs 13-14 of the attached Memorandum on Economic and Financial Policies and in the set of tables in Appendix I.

2/ For most national accounts aggregates, 1994 was a special year because of both the devaluation of the CFA franc and a number of exceptional factors that have been described in detail in the staff report on the 1994 Article IV consultation (SM/95/21). Developments over the program period are therefore usually more appropriately judged by comparing the levels of, and movements in, aggregates during the period 1995-98 with their respective values during 1992-93.

1998, virtually all of such savings should be in support of investment. Owing to the usual lags between an upturn in investment and a strengthening of the external balance, the narrowing of the external current account deficit will remain modest over the program period. However, as the production base is durably strengthened, positive private and public sector saving and a more substantial improvement in the external balances should emerge, and this will be reinforced by the coming on stream of oil production toward the turn of the century. 1/

### 3. Economic policies for 1995-96

#### a. Economic and financial management

Successful formulation and implementation of economic policies require further improvements in the functioning of public administration, the budget process, and financial management. The existing system of economic policy committees has served the authorities well, but its effectiveness can be further enhanced. 2/ In particular, the flow and transparency of information to policymakers, donors, the business community, and the general public, while improved substantially since mid-1994, still needs to be broadened and made more timely and coherent. Measures to that effect have already been taken, as witnessed by the increasingly comprehensive committee reports. Related improvements in economic management at the policy making and supervisory levels has to be accompanied by a more general strengthening of implementation capacity. This will require a comprehensive reform of the civil service, an objective that will be pursued with the assistance of the World Bank, starting later in 1995. Special emphasis should be placed on strengthening the incentive system and identifying needed skills and appropriate training.

#### b. Fiscal policies

Fiscal policy aims to reduce the current primary deficit from 6 percent of GDP in 1994 to 2 1/4 percent in 1995 and 1 1/4 percent in 1996 (Appendix I, Table 6). Achievement of these objectives, as well as the advancement of fiscal reform and restructuring of government spending, will require a significant improvement in budget preparation, execution, and monitoring. A study on these issues is under preparation with the assistance of the World Bank, and its recommendations are to be implemented from 1996 onward.

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1/ Oil reserves in the south of Chad are estimated at 300-400 million barrels. An agreement on their exploitation and transport to the coast of Cameroon has recently been signed, but no firm date has yet been set for the start of the operations and construction of the pipeline. Moreover, the level and timing of foreign-financed local investment remain uncertain. In this situation, it was decided not to incorporate assumptions about the macroeconomic and financial effects of oil production and sales into the staff's financial programming.

2/ For a description of the system of committees and their functions, see (SM/95/31).

Regarding the fiscal deficit objectives, the authorities felt that, while there was scope for savings in selected areas, a general expenditure reduction was not appropriate, given the urgency of spending in priority areas and the poor state of equipment and supplies. The situation thus puts a premium on improvements in revenue collection, a strategy that has already been pursued with some success since mid-1994. At the same time, however, some of the recent acceleration in tax collection has been due to one-off factors, which can not be projected into the future. Moreover, it has become clear that there are limits to the speed with which revenue collection can be improved and reforms can become effective. First, especially in the current setting in Chad, the reorganization of, and improvements in coordination among, the revenue departments require time, as does the adaptation of work practices and documentation to the new tax and customs laws. The authorities also noted that taxpayers' compliance with changes aimed at strengthening revenue collection either through increase in tax rates or a broadening of the tax base, was often weak initially. This behavior could severely hamper revenue collection in the early stages of tax reform, as had become evident in early 1995 in connection with the implementation of the turnover tax (TCA) and excise taxes on domestic transactions. Nevertheless, the authorities reiterated their determination to increase government receipts substantially so that the revenue-to-GDP ratio would rise to from 7 1/2 percent in 1994 to 9 percent in 1995 and about 9 3/4 percent in 1996.

To achieve their revenue objectives, the authorities will continue to assign priority to the effective and timely implementation of the UDEAC tax and customs reforms, not least because these reforms will simplify the tax system and broaden the tax base, while harmonizing taxation in the region. A new rate structure for customs duties, a turnover tax with only two rates (5 and 15 percent), and a number of excise taxes (at rates between 5 and 30 percent) have already been introduced in line with UDEAC agreements and are estimated to account for about 1 percentage point of the increase in tax revenue in 1995. Measures for 1996 will concentrate on a further broadening of the tax base. This will include in particular the renegotiation, before end-1995, of the special enterprise conventions and adjustments in the Investment Code to eliminate related tax exemptions and make them compatible with the new tax laws. Moreover, a single taxpayer code and file has been introduced to improve the monitoring and collection of tax liabilities. In addition, the authorities will continue to rigorously implement the extensive and ambitious action plan that has been developed for the customs office with the assistance of a FAD technical assistance mission and resident expert. Principal actions in the second half of 1995 and in 1996 will consist of a further strengthening of customs monitoring and control, a widening of the assessment of customs duties on the basis of updated c.i.f. values, and the expansion of training programs and use of computerized information. Since the plan was launched in September 1994, the functioning of the customs office has improved measurably, and it is likely that in 1995 customs revenue will almost double compared with 1994, and continue to rise strongly in 1996 and beyond. In contrast, the collection of customs duties on petroleum products, which has been entrusted to a private preinspection company, has remained highly disappointing for reasons not yet completely

understood. In collaboration with the World Bank, the authorities are currently undertaking a special review the matter. At the latest by end-1995, they will formulate an action program that will focus on measures to effectively control fraud, and that should permit an increase in revenue from this source by about 50 percent in both 1996.

On the expenditure side, the program objectives are to bring current spending down from 15 1/4 percent of GDP in 1994 to 13 1/4 percent in both 1995 and 1996, while shifting priorities toward investment in human and physical capital and the strengthening of revenue departments. Accordingly, the wage bill will be kept constant in real terms despite an increase in staff in priority areas, as well as pressure for increases in civil service wages and a full payment of wage arrears. To meet the salary objective for 1995, the authorities have essentially offset the financial effects of the 10 percent increase in wage rates (effective January 1, 1995) by implementing comprehensive cuts in allowances and other benefits. Regarding government employment, the scope for further reductions in staff has narrowed after last year's large-scale dismissal of staff above retirement age (some 1,000 persons). Retirement rules will continue to be enforced strictly and other possibilities for reductions in the government payroll will be explored in the context of the civil service census that is now under way with World Bank assistance and will be completed by end-November 1995. Together, these measure should permit a further reduction in the Government payroll by some 500 persons. Potentially significant budgetary savings on wages can also be expected from a recently introduced program to make up for salary arrears by handing over public land titles to civil servants. The initiative has met with considerable success and will be pursued in the future because it not only reduces government payments obligations but also increases private land ownership.

Noting the recent slowdown in the demobilization program, the authorities reiterated their determination to reduce the size of the army to no more than 25,000 men. Progress in the execution of the program has encountered three main obstacles: first, a government initiative to reduce the retirement age and maximum years of service has failed to obtain the support of the transitional national assembly; second, in the interest of ensuring a peaceful climate for the upcoming elections, an agreement has been concluded between the Government and a rebel group for the integration of the group's members into the regular forces, raising their size by some 1,500 to 32,000; finally, residual foreign financing available for demobilization is insufficient to reach the agreed objective because it will in the best of circumstances cover departure allowances for no more than 4,000 men. As budgetary resources for a financing of demobilization are not available, the authorities will make a special effort to secure additional external financial assistance from the donor community in order to achieve the objective of 25,000 men by end-June 1996.

The composition of government spending is to be shifted in favor of investment in human capital. In particular, for both 1995 and 1996, a 20 percent expansion in budgetary allowances (in real terms) is planned for primary education and basic health services. Moreover, measures will be

taken to achieve a satisfactory level of supplies of essential generic drugs. Expenditure increases in these areas will be compensated in part by a reduction in subsidies of approximately CFAF 750 million, made possible by the increases in electricity prices and the liberalization of sugar prices. Regarding capital spending, a complete and well-documented public investment program has recently been presented for the first time. It will permit a better rationalization of investment activities of government and donors alike. In the current situation of tight public finances, budget-financed investment is to be limited to the local counterpart funds for foreign-financed projects.

c. Monetary and financial sector policies

Monetary management in Chad will be guided by the reform measures at the regional BEAC level, which seek to increase reliance on market mechanisms and the use of indirect instruments of monetary control. Given the monetary arrangements in the BEAC zone, monetary policy will aim at protecting Chad's contribution to the foreign reserve position of the BEAC. Given the recent sharp weakening of BEAC's overall position in the operations account has indeed heightened the authorities' concern on this score. Accordingly, despite the further small decline in the velocity of money that is expected, the program calls for a prudent approach toward domestic credit expansion.

In the short run, given the dominance of the cotton sector in domestic credit demand and the favorable earnings outlook for COTONTCHAD, as well as the programmed settlement of payments arrears to suppliers, Chad is unlikely to face a high demand for credit, and the program provides for a decline in aggregate private sector credit from CFAF 31.3 billion at end-1994 to CFAF 29.3 billion at end-1996. This development would nonetheless accommodate a satisfactory development of credit to the rest of the economy, excluding COTONTCHAD (Appendix I, Tables 7 and 8). With net credit to the Government increasing by no more than the counterpart of net disbursements from the Fund under the ESAF-supported program, it would also allow for a further strengthening of the banking system's overall net foreign reserves position. To ensure that this improvement strengthens official reserves, the BEAC intends to make active use as of early-1996 of the reverse auction mechanism, whose introduction was decided at the BEAC's July 1995 Board meeting. Chad's banking system is in a relatively sound situation, and the authorities are determined to keep it so in the future. They will therefore continue to lend their full support to the regional banking commission (COBAC) in its efforts to assure that prudential ratios and related dispositions are fully adhered to.

4. Structural reforms

The principal objectives of structural reform are the broadening and revitalization of the private sector. Main actions to that effect are (a) an acceleration of the privatization program, and measures to strengthen the operations of public enterprises; (b) the removal of minimum wage

regulations; (c) the abolishment of import and export licenses; and (d) a comprehensive reform of exchange regulations.

Under the plan to accelerate the privatization program, the authorities, in collaboration with the World Bank, have identified nine public enterprises (mostly in the tourism, insurance, and manufacturing sectors) to be put up for sale before the end of 1995. In addition, new initiatives for a strengthening of competitiveness and profitability will be introduced regarding state enterprises in the cotton and sugar sectors and the public utility.

As a result of the devaluation and the prudent wage policy that has been pursued since then, profitability has been restored in the cotton sector. Priority is now to be given to raising production to a level that corresponds to the comparative advantage that Chad possesses in cotton production and that fully exploits the scope for economies of scale. To this end, appropriate adjustments in producer prices (including a premium when appropriate) and necessary increases in investments in transportation and ginning capacities will be decided annually in the context of a medium-term strategy in collaboration with the shareholders of COTONTCHAD, as well as the World Bank. Progress is also to be made by end-1995 on the financial restructuring of COTONTCHAD, including the elimination of past loss carry-overs and the settling of cross-debts between COTONTCHAD and the Government. <sup>1/</sup> To balance these objectives, and to be able to respond appropriately to the instability of weather conditions and world cotton prices, the authorities have opted for retaining flexibility in the profit-sharing mechanism and the setting of producer prices.

In the sugar sector, the past system of state intervention that combined price and profit margin controls with restrictions on imports has failed, and the sector is to be liberalized. The temporary surtax on sugar imports has already been lifted and price and profit margin controls on sugar have been removed to strengthen competition at the wholesale and retail levels and achieve a more effective control over fraud. To the same end, and to rein in price hikes and fraud, the authorities will henceforth stop setting annual import quotas and allow sugar imports to respond more flexibly to excess demand in domestic markets. In this connection, they noted that even though competitiveness relative to most regional sugar producers was established, the local sugar manufacturer (SONASUT) could not compete with, and needed protection from, imports sold at dumping prices.

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<sup>1/</sup> Cross-debts involve, on the one hand, the debt of the now liquidated Cotton Price Stabilization Fund (CSPC) to COTONTCHAD, which has resulted from excessively high mandatory producer prices for cotton in the past. On the other hand, the Government on-lent in the 1980s credits from the Caisse Française de Développement (CFD) to COTONTCHAD, on which only irregular payments have been made. The credits have now been canceled by the CFD as part of the debt forgiveness extended by the French Government in 1994, but COTONTCHAD's debt and debt service obligations to the Government have so far remained.

Nevertheless, to further improve competitiveness and contain fraudulent imports of sugar, the authorities and the French shareholders plan a significant expansion of production to more economical, lower cost levels.

In the public utility (STEE), substantial cost cuts and improvements in productivity have already been achieved. Further efforts will center on raising the recovery ratio for invoices. A possible transfer of management to private contractors is also under discussion with the World Bank. Moreover, STEE losses will be curtailed by the 10 percent increase in electricity prices that became effective July 1, 1995. However, given the STEE's dependence on imported oil and the fact that Chad is a landlocked country with high transportation costs, the long-term solution to the utility's financial problems will depend primarily on the speed at which national oil reserves can be brought on stream.

Labor market flexibility is to be enhanced through a comprehensive revision of the Labor Code. In particular, with a view to allowing the social partners to make discretionary decisions on the balancing of potential trade-offs between wage levels and employment, the existing minimum wage legislation is to be rescinded in favor of freely negotiated agreements between employers and employees. The new Labor Code will also grant freedom to the contracting parties to decide whether agreements should be reached at the national or sectoral level.

With a view to easing administration, eliminating the complexity and arbitrariness of the old import and export control system, stimulating trade and commerce, and cutting a costly burden on enterprises, the authorities have decided to remove the current system of import and export licenses. Needed monitoring and control over imports for health and security reasons will henceforth be assigned to the customs office on the basis of a restricted negative list. Moreover, the authorities intend to reduce fraud, achieve a better assessment of customs values, and improve the verification of foreign exchange transactions by establishing efficient channels of communication on trade and payments operations between the customs office, the Treasury, the Ministry of Commerce, and the Central Bank. Finally, to remove uncertainties and the risks of arbitrary decisions, the authorities will replace the outdated national guidelines for foreign exchange transactions by the exchange regulations proposed for the BEAC area as a whole in September 1993. In this context, the authorities confirmed their intention to maintain a liberal trade and payments system and support a timely move to Article VIII status in the Fund.

Improving the quality, coverage, and timeliness of statistical information is an important concern of the authorities. Given the current shortage of physical and financial resources, priority is initially to be given to the generation of critical operational data--on government financial operations, and on monetary, balance of payments, and price and trade developments--that are needed for the effective implementation and monitoring of the adjustment program. Data collection, processing, and dissemination by the Technical Committee is therefore to be improved and expanded, while all government departments and agencies feeding information

to the Committee have been requested to do so in a thorough and timely manner. At a later stage, the coverage of data collection will be broadened and deepened in line with additional reporting needs to be identified with the help of Fund assistance.

#### IV. External Sector, External Financing, and Capacity to Repay the Fund

External prospects are expected to improve progressively with the increase in supply incentives and the change in the composition and level of import demand, where the latter is expected to reflect in particular the increase in foreign-financed public investments and upturn in private investment. The full effects of the structural improvement in the external current account are consequently projected to occur with a lag (Appendix I, Table 9). <sup>1/</sup> There are a number of risks to the program's fiscal and external balances: slippages in wage policy that could entail demand pressures and reduce competitiveness; election-related increases in government spending, to the extent that they are not foreign financed; the recurrence of unfavorable weather conditions; and adverse movements in the terms of trade. For example, a decline in international cotton prices to the average level prevailing during the period 1992-93, which *ceteris paribus*, implies a 25 percent drop in prices, would raise the current account deficit by 2 1/4 percentage points of GDP, slow the pace of reserve accumulation, and raise the debt service ratio in 1998 by about one percentage point to 12 percent (Appendix I, Table 10). Similarly, a 10 percent increase in international manufactured goods prices as of 1996 would raise the current account deficit by 1 1/2 percentage points of GDP. <sup>2/</sup>

Chad's external financing requirements and the sources of exceptional assistance are discussed in the accompanying policy framework paper. For 1995 and 1996, the financing gaps that remain after disbursements by the Fund and the World Bank amount to CFAF 32.9 billion and CFAF 17.2 billion, respectively. Reasonable assurances exist that it can be covered by (i) bilateral aid of CFAF 28.8 billion in 1995, and CFAF 16.1 billion in 1996 (mostly from France, the European Union, and the United States); (ii) the rescheduling of eligible debt service by Paris Club and other bilateral creditors of an additional CFAF 0.5 billion in 1995, and CFAF 1.1 billion in 1996; and (iii) the deferral, in 1995, of some CFAF 3.6 billion of payments on the postal debt, for which a request has been made. Adjusters for shortfalls or increases in external financing would be as follows: shortfalls before end-1995 would result in a temporary postponement of the programmed elimination of external payments arrears,

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<sup>1/</sup> Assumptions on the exogenous variables affecting the external current account are those of the World Economic Outlook.

<sup>2/</sup> In the simulations, the assumed decline in cotton prices would become effective from the 1996/97 season onward, while the increase in manufactured goods prices is assumed to start in the 1996 calendar year.



which is envisaged by end-1995 in the current financial programming. Shortfalls that persist during the period January-June 1996 would result in a reduction in the planned settlement of domestic payments arrears up to the total amount foreseen for 1996 as a whole (CFAF 8.6 billion). For larger shortfalls, a consultation with the Fund staff would ensue. On the other hand, domestic or foreign financing larger than programmed would be used in equal parts for an expansion in the settlement of domestic payments arrears and reduction in the net credit to the Government.

Independently of the large increases in fiscal revenues and foreign reserves that are expected to accrue from future exploitation of national oil reserves, Chad should experience a strengthening in the viability of its external position, the sustainability of its debt burden, and its capacity to repay the Fund as a result of the projected improvement in the fiscal position, and an increase in domestic saving more generally. The country's prospects will also improve owing to the expansion of its growth potential in response to the upturn of investment in infrastructure and machinery and equipment. On the basis of the proposed schedule of disbursements (Appendix I, Table 11), the debt service ratio to the Fund is projected to peak in 1997 at 4.7 percent of exports of goods and nonfactor services, drop to 0.5 percent by 2000, and then to average around 2 percent over 2001-05 (Appendix I, Tables 12 and 13). The overall debt service ratio will also peak in 1997 at 16.1 percent and then display a pattern similar to that of the debt service ratio to the Fund, dropping to below 13 percent by 2005. Chad's ability to remain current on its financial obligations to the Fund should be further enhanced by technical assistance on debt management to be received from the World Bank. The staff will also seek to enhance it by recommending the acquisition ahead of time of the SDRs needed to meet Fund charges and repayments. Under these assumptions, Chad should be able to meet its payments obligations to the Fund on a timely basis.

#### V. Prior Actions and Program Monitoring

All policy measures listed in paragraph 26 of the attached MEFP constituted prior actions and have already been implemented by the Chadian authorities. Performance under the first-year ESAF arrangement will be monitored on the basis of the financial and structural performance criteria and benchmarks presented in paragraph 27 of the MEFP. Benchmarks will apply to end-September 1995 and performance criteria to end-December 1995. The second disbursement will be conditional upon observance of the performance criteria at end-December 1995 and completion of the midterm review, which will take place no later than March 15, 1996. The review will reassess the indicative benchmarks for end-March and end-June 1996 and will pay particular attention to the performance of the revenue departments and focus on ways that could further increase tax revenue in 1996 and beyond. It will also assess progress in the currentness of debt service payments and on the reduction in payments arrears to suppliers.

## VI. Staff Appraisal

Starting from a very difficult situation and serious initial slippages under the original 1994 program, the Chadian authorities have since mid-1994 made much progress in the design and implementation of corrective economic and structural adjustment policies. Internalization of program objectives has improved, efforts to raise the level of acceptance of policies through an open dialogue and increased transparency are yielding encouraging results, and the responsiveness and efficiency of public administration are increasing. It is now important to strengthen this momentum of reform and expand its reach. The authorities' assurances that their economic program is an integral and critical part of the broader political transition toward a pluralistic form of government are important for its credibility and acceptance. This should also protect program execution against risks of derailment during the period leading up to the election in early 1996.

Chad nonetheless has a long way to go if its objective of significantly raising the standard of living of the population is to be achieved on a lasting basis. Further progress in the establishment of credibility and confidence at home and abroad will require that program implementation be predictable and unwavering at both the policy making and administrative levels. First, the work of the economic policy committees must be further streamlined and expanded. Second, the planned civil service reform must aim at a general increase in efficiency in public administration. It should establish a clearer set of priorities and an in-depth profile of required skills. It should also set strong signals for a performance-oriented advancement system for civil servants. At the same time, the budget process needs to be strengthened and rationalized, and technical assistance should be sought to help in this effort.

Despite pressing spending needs, fiscal consolidation must be pursued with determination not only to reassure the public and donors of the authorities' resolve and capacity to achieve on a regular basis an orderly budget execution, but also to increase resources for public and private investment, assist in re-establishing macroeconomic balance, and support private sector development.

Fiscal action must first and foremost center on further improving revenue performance. Measures to that effect need to include above all (i) the full implementation of the UDEAC tax reform; (ii) a better coordination and cooperation among revenue departments; (iii) the effective use of the single taxpayer code and file; (iv) implementation, at the customs office, of the extensive action plan--developed with the help of the FAD technical assistance--to broaden the tax base for import duties, shorten payments lags, and reduce fraud; and (v) the early resolution of the problem of customs duty collection on petroleum products. The revenue objective for 1996 should be considered a minimum, and every effort should be made to surpass it, including through additional revenue actions.

On the expenditure side, budget constraints impose strict prioritization while the growth orientation of the program requires that spending favor investment in human and physical capital. The wage bill thus must be kept tightly in check. Moreover, at least in 1995, there is no scope for a

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reduction in wage arrears, other than through compensation in kind. The civil service census must be given high priority to eliminate ghost employment and facilitate control of the payroll and wage bill. Regarding military spending, all possible avenues should be explored, and energetic action taken, to speed up demobilization.

In the monetary policy area, the authorities should lend their full support to the implementation of reforms at the regional level that broaden the use indirect instruments of monetary control and increase reliance on market mechanisms. Similarly, in the relevant regional bodies, they should press for the early adoption of Article VIII status by the BEAC member states.

The strengthening of structural policies should be pursued with energy, and should be based on a further liberalization of the economy and an unwavering commitment to private sector-led growth. In this context, the staff attaches considerable importance to the planned abolition of government-determined minimum wages and freeing of the wage formation process, which constitute an important step toward greater labor market flexibility and better factor allocation. Resource allocation will also benefit from the continuation of the price liberalization program under which the authorities have recently freed an additional number of prices. Moreover, the removal of import and export licenses is critical because it will remove a considerable administrative and financial burden from enterprises and make a major contribution to the strengthening of commerce and trade. Finally, private sector activity and planning should be eased by the intended harmonization of exchange regulations, which should be expedited.

The divestiture program needs to be given increased impetus, and where applicable in close cooperation with other shareholders. In the critical cotton sector, priority should in the current setting be given to a further strengthening of long-term competitiveness by giving appropriate rewards to producers and assuring the financing of investment objectives that seek to expand capacities to level that correspond with Chad's comparative advantage. Similarly, in the sugar sector, the liberalization of prices and imports can be expected to encourage efficiency and help control fraud. At the same time, competitiveness should be strengthened further by an expansion of production to more economical levels. Finally, significant progress needs to be made in the quality, coverage, and timeliness of statistical information. The focus on data that have an immediate operational use seems appropriate under current circumstances. For future reforms in this area, financial and technical assistance should be actively sought.

Given the strength of the proposed adjustment program, the authorities' demonstrated determination to implement strong policy measures under the SMP, and the projected favorable evolution of Chad's debt indicators and capacity to repay the Fund, the staff recommends approval of the requested arrangements under the enhanced structural adjustment facility.

VII. Proposed Decision

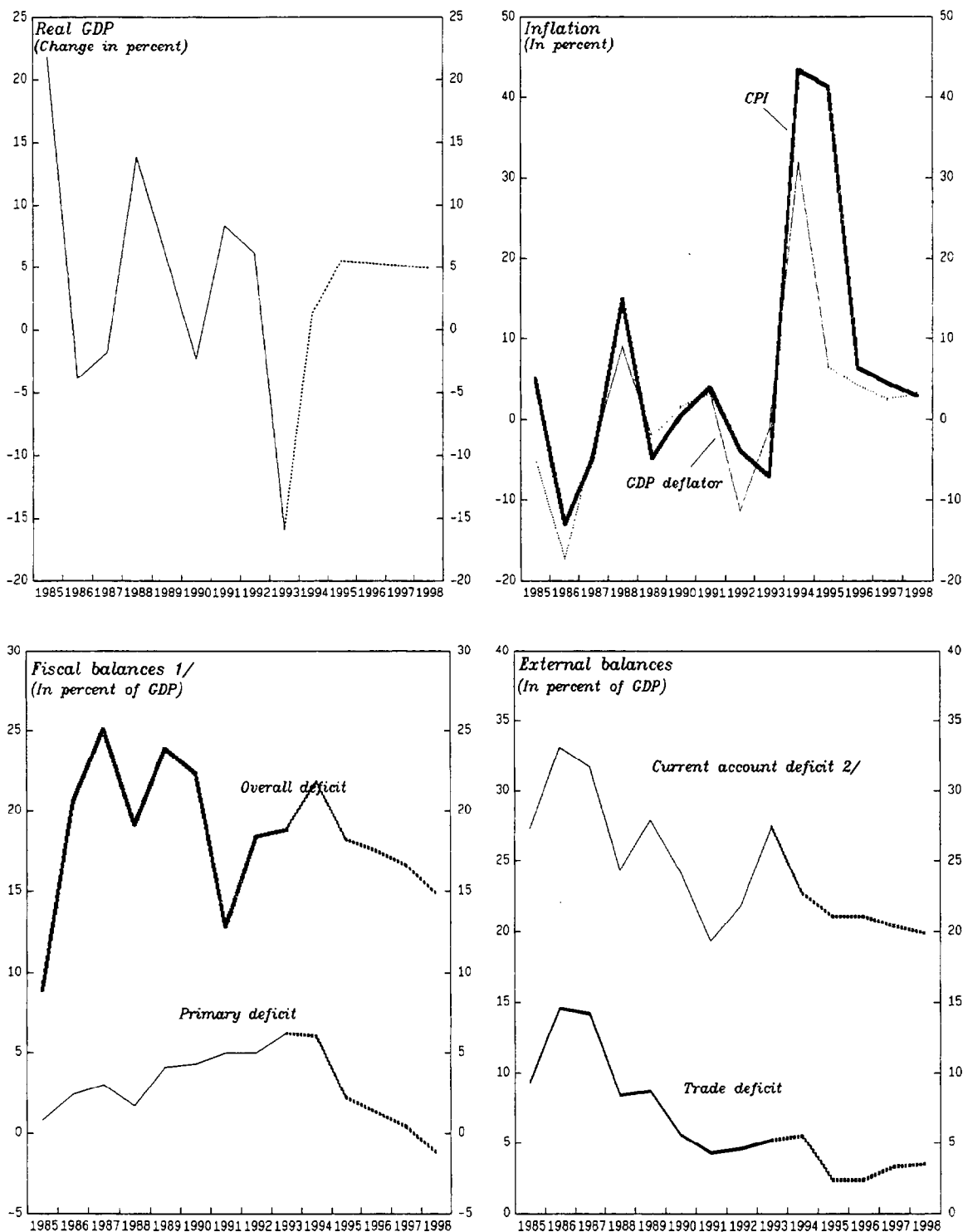
In view of the foregoing, the following draft decision is proposed for adoption by the Executive Board:

1. The Government of Chad has requested a three-year arrangement under the enhanced structural adjustment facility, and the first annual arrangement thereunder.
2. The Fund notes the policy framework paper for Chad set forth in EBD/95/ .
3. The Fund approves the arrangements set forth in EBS/95/139.

# CHART 1

## CHAD

### PRINCIPAL ECONOMIC INDICATORS, 1985-98

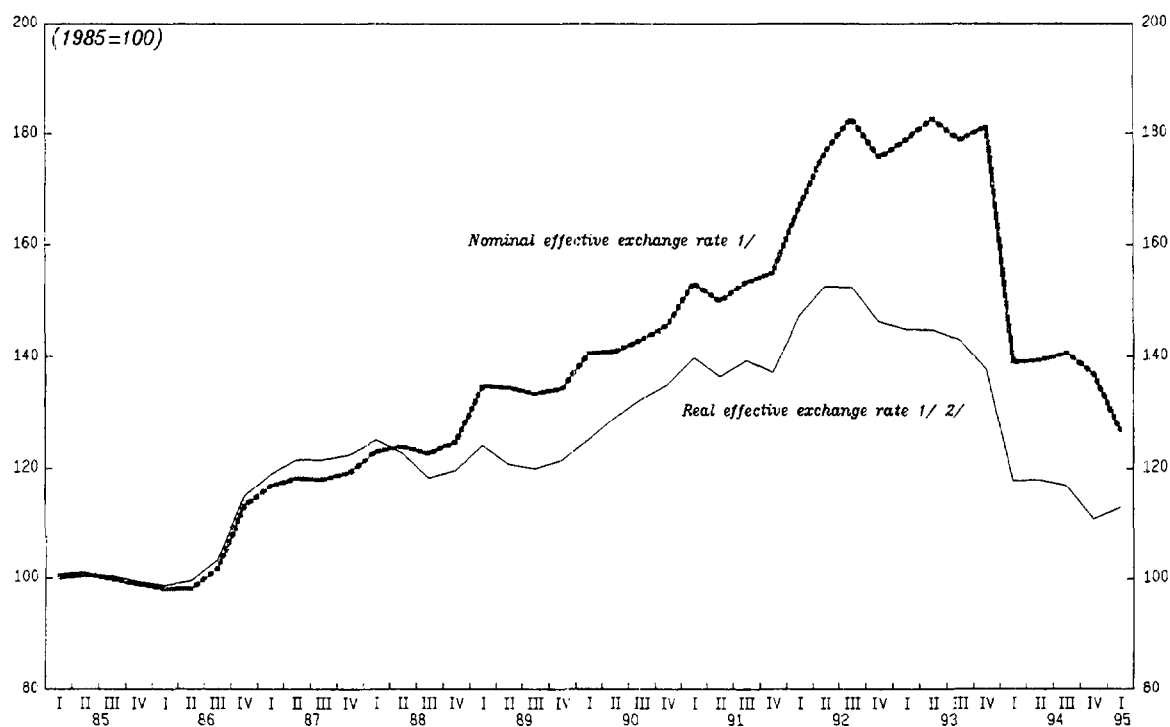
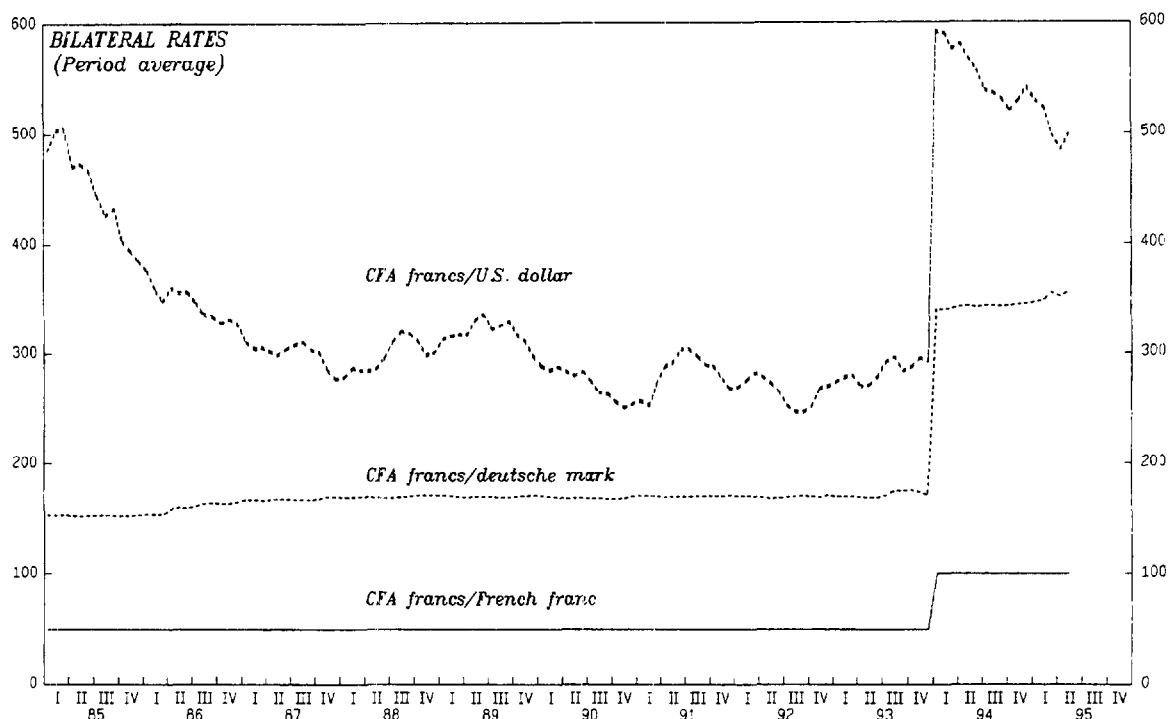


Sources: Data provided by the Chadian authorities; and staff estimates and projections.

1/ On a commitment basis, excluding grants.

2/ Excluding official transfers.

# CHART 2 CHAD EXCHANGE RATE DEVELOPMENTS, 1985-95

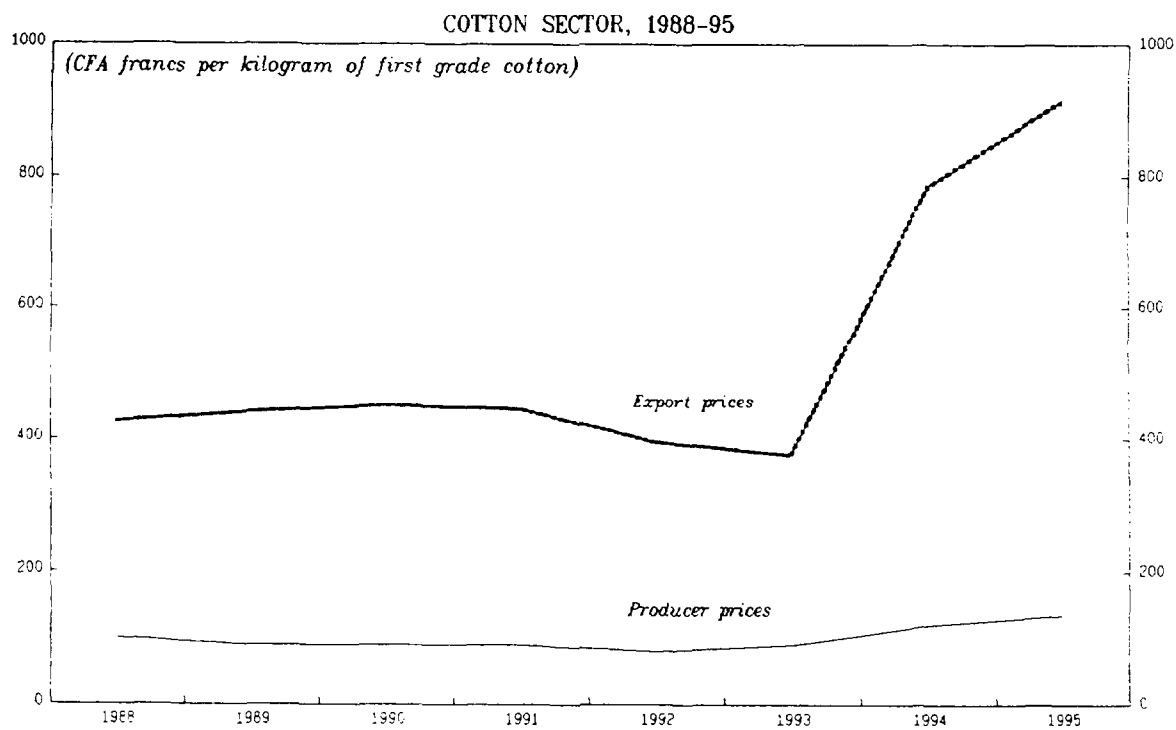
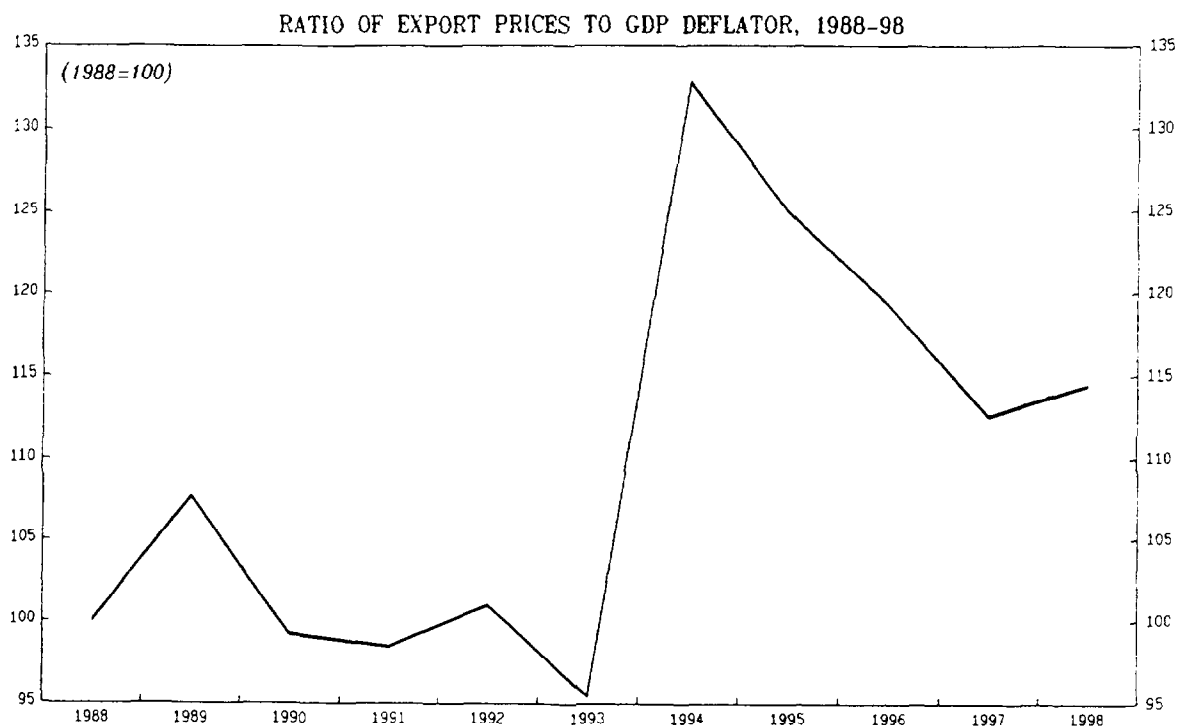


Sources: IMF, International Financial Statistics, Information Notice System, and staff estimates and calculations.

1/ Information Notice System (including Nigeria with a weight moving from 10 percent in 1985 to 25 percent in 1993, and reduced to 15 percent in 1994).

2/ Based on relative consumer prices.

### CHART 3 CHAD EXPORT PROFITABILITY



Sources: Data provided by the Chadian authorities; and staff estimates and projections.

Table 1. Chad: Fund Position During the Period of the Arrangement, June 1995-June 1998

|                                       |                              | 1995           |               | 1996          |               |                |               | 1997          |               |                |               | 1998          |               |
|---------------------------------------|------------------------------|----------------|---------------|---------------|---------------|----------------|---------------|---------------|---------------|----------------|---------------|---------------|---------------|
|                                       | Outstanding<br>June 30, 1995 | July-<br>Sept. | Oct.-<br>Dec. | Jan.-<br>Mar. | Apr.-<br>June | July-<br>Sept. | Oct.-<br>Dec. | Jan.-<br>Mar. | Apr.-<br>June | July-<br>Sept. | Oct.-<br>Dec. | Jan.-<br>Mar. | Apr.-<br>June |
| (In millions of SDRs)                 |                              |                |               |               |               |                |               |               |               |                |               |               |               |
| Net use of Fund credit                |                              | 8.3            | -2.1          | 8.3           | -2.1          | 8.3            | -2.1          | 8.3           | -3.4          | 7.0            | -3.4          | 7.0           | -2.8          |
| Transactions under tranche policies   |                              | --             | --            | --            | --            | --             | --            | --            | --            | --             | --            | --            | --            |
| Transactions under special facilities |                              |                |               |               |               |                |               |               |               |                |               |               |               |
| Repurchases                           |                              | --             | --            | --            | --            | --             | --            | --            | 1.3           | 1.3            | 1.3           | 1.3           | 1.3           |
| Loans under:                          |                              |                |               |               |               |                |               |               |               |                |               |               |               |
| SAF                                   |                              |                |               |               |               |                |               |               |               |                |               |               |               |
| Drawings                              |                              | --             | --            | --            | --            | --             | --            | --            | --            | --             | --            | --            | --            |
| Repayments                            |                              | --             | 2.1           | --            | 2.1           | --             | 2.1           | --            | 2.1           | --             | 2.1           | --            | 1.5           |
| ESAF                                  |                              |                |               |               |               |                |               |               |               |                |               |               |               |
| Drawings                              |                              | 8.3            | --            | 8.3           | --            | 8.3            | --            | 8.3           | --            | 8.3            | --            | 8.3           | --            |
| Repayments                            |                              | --             | --            | --            | --            | --             | --            | --            | --            | --             | --            | --            | --            |
| Total Fund credit outstanding         | 26.8                         | 35.1           | 33.0          | 41.2          | 39.1          | 47.3           | 45.2          | 53.5          | 50.0          | 57.0           | 53.6          | 60.5          | 57.7          |
| Under tranche policies                | --                           | --             | --            | --            | --            | --             | --            | --            | --            | --             | --            | --            | --            |
| Under special facilities              | 10.3                         | 10.3           | 10.3          | 10.3          | 10.3          | 10.3           | 10.3          | 10.3          | 9.0           | 7.7            | 6.5           | 5.2           | 3.9           |
| Under SAF                             | 16.5                         | 16.5           | 14.4          | 14.4          | 12.2          | 12.2           | 10.1          | 10.1          | 8.0           | 8.0            | 5.8           | 5.8           | 4.3           |
| Under ESAF                            | --                           | 8.3            | 8.3           | 16.5          | 16.5          | 24.8           | 24.8          | 33.0          | 33.0          | 41.3           | 41.3          | 49.6          | 49.6          |
| (In percent of quota)                 |                              |                |               |               |               |                |               |               |               |                |               |               |               |
| Total Fund credit outstanding         | 65.0                         | 85.0           | 79.8          | 99.8          | 94.6          | 114.6          | 109.5         | 129.5         | 121.1         | 138.0          | 129.7         | 146.6         | 139.7         |
| Under tranche policies                | --                           | --             | --            | --            | --            | --             | --            | --            | --            | --             | --            | --            | --            |
| Under special facilities              | 25.0                         | 25.0           | 25.0          | 25.0          | 25.0          | 25.0           | 25.0          | 25.0          | 21.9          | 18.8           | 15.6          | 12.5          | 9.4           |
| Under SAF                             | 40.0                         | 40.0           | 34.8          | 34.8          | 29.6          | 29.6           | 24.5          | 24.5          | 19.3          | 19.3           | 14.1          | 14.1          | 10.4          |
| Under ESAF                            | --                           | 20.0           | 20.0          | 40.0          | 40.0          | 60.0           | 60.0          | 80.0          | 80.0          | 100.0          | 100.0         | 120.0         | 120.0         |

Source: IMF, Treasurer's Department.



Table 2. Chad: Selected Economic and Financial Indicators, 1992-98

|                                                        | 1992   | 1993   | 1994   |                    | 1995   | 1996        | 1997  | 1998  |
|--------------------------------------------------------|--------|--------|--------|--------------------|--------|-------------|-------|-------|
|                                                        |        |        | Prog.  | Est.               |        | Projections |       |       |
| (Annual percentage change, unless otherwise specified) |        |        |        |                    |        |             |       |       |
| National income and prices                             |        |        |        |                    |        |             |       |       |
| GDP at current prices                                  | -5.9   | -17.0  | 33.6   | 45.3               | 12.4   | 9.9         | 7.7   | 8.3   |
| GDP at constant prices                                 | 6.1    | -15.9  | 1.4    | 5.2                | 5.5    | 5.3         | 5.1   | 4.9   |
| GDP deflator                                           | -11.3  | -1.3   | 31.8   | 38.1               | 6.5    | 4.3         | 2.4   | 3.3   |
| Consumer prices                                        | -3.8   | -7.0   | 43.3   | 41.3               | 6.5    | 4.5         | 3.0   | 3.0   |
| Central government finance <sup>1/</sup>               |        |        |        |                    |        |             |       |       |
| Revenue                                                | -2.5   | -7.2   | 40.6   | 6.9                | 37.1   | 18.3        | 15.2  | 20.3  |
| Total expenditure                                      | 19.8   | -12.8  | 53.9   | 47.2               | 4.9    | 22.7        | 22.5  | 20.3  |
| Of which: current expenditure                          | (-3.7) | (-1.4) | (16.3) | (23.3)             | (-1.6) | (10.2)      | (4.5) | (4.3) |
| Money and credit (end of period)                       |        |        |        |                    |        |             |       |       |
| Net foreign assets <sup>2/</sup>                       | -11.3  | -24.3  | -2.8   | 66.8               | 6.7    | 9.4         | 8.7   | 3.8   |
| Net domestic assets <sup>2/</sup>                      | 2.2    | 1.6    | 29.0   | 0.2                | 9.5    | 1.5         | -0.5  | 4.5   |
| Domestic credit <sup>2/</sup>                          | 14.9   | 11.5   | 29.0   | 14.8               | 6.1    | 1.5         | -0.5  | 4.5   |
| Credit to Government (net) <sup>3/</sup>               | 32.6   | 21.2   | 14.2   | 8.1                | 2.0    | 7.2         | 2.8   | 2.6   |
| Private sector                                         | -17.7  | -9.6   | 14.8   | 6.7                | 4.1    | -5.7        | -3.4  | 1.9   |
| Money and quasi-money                                  | -9.9   | -21.6  | 26.2   | 66.3 <sup>4/</sup> | 16.9   | 10.9        | 8.1   | 8.3   |
| Income velocity of money (M2) <sup>5/</sup>            | 5.8    | 6.3    | 6.1    | 5.3                | 5.1    | 5.1         | 5.1   | 5.1   |
| External sector                                        |        |        |        |                    |        |             |       |       |
| Exports, f.o.b. (in US\$)                              | -4.6   | -16.6  | 9.3    | -2.7               | 39.0   | 14.0        | 0.5   | 9.9   |
| Imports, f.o.b. (in US\$)                              | 0.9    | -15.6  | -6.7   | -7.7               | 20.4   | 13.6        | 5.0   | 10.2  |
| Export volume                                          | -2.8   | -4.4   | 5.3    | -0.8               | 26.5   | 14.3        | 5.0   | 5.5   |
| Import volume                                          | -7.1   | -10.2  | -6.0   | -13.3              | 18.2   | 13.9        | 3.6   | 8.5   |
| Terms of trade                                         | -6.4   | -8.6   | 0.7    | -3.8               | -0.2   | -1.5        | -5.5  | 2.6   |
| Real effective exchange rate                           | -1.0   | -15.6  | -27.3  | -36.8              | 2.3    | -5.0        | -6.1  | -3.9  |
| (In percent of GDP)                                    |        |        |        |                    |        |             |       |       |
| Central government finance <sup>1/</sup>               |        |        |        |                    |        |             |       |       |
| Revenue                                                | 9.0    | 10.0   | 9.5    | 7.4                | 9.0    | 9.7         | 10.4  | 11.5  |
| Total expenditure                                      | 27.4   | 28.8   | 28.5   | 29.2               | 27.2   | 27.1        | 27.0  | 26.4  |
| Current deficit (-) <sup>6/</sup>                      | -6.1   | -7.8   | -5.1   | -7.8               | -4.3   | -3.6        | -2.5  | -0.9  |
| Current primary deficit                                | -5.0   | -6.2   | -3.5   | -6.0               | -2.2   | -1.3        | -0.4  | 1.2   |
| Overall deficit (-) <sup>6/</sup>                      |        |        |        |                    |        |             |       |       |
| (commitment basis)                                     | -18.4  | -18.8  | -18.9  | -21.8              | -18.2  | -17.5       | -16.6 | -14.9 |
| (cash basis) <sup>6/</sup>                             | -15.3  | -13.5  | -23.9  | -20.6              | -21.1  | -19.3       | -17.6 | -15.5 |
| Including grants                                       | -11.7  | -11.5  | -11.2  | -11.3              | -8.8   | -10.4       | -8.3  | -6.8  |
| Domestic financing (net)                               | 5.5    | 2.3    | -0.8   | -2.2               | -0.8   | -0.7        | -1.4  | -0.8  |
| External financing (net)                               | 9.8    | 11.2   | 24.6   | 22.7               | 22.0   | 20.0        | 19.0  | 16.3  |
| External current account deficit                       |        |        |        |                    |        |             |       |       |
| Including official transfers                           | -6.5   | -10.9  | -12.0  | -4.1               | -1.3   | -9.2        | -8.0  | -7.9  |
| Excluding exceptional financing                        | -8.8   | -12.1  | -16.4  | -8.3               | -7.3   | -9.2        | -8.0  | -7.9  |
| Excluding official transfers                           | -21.9  | -27.4  | -29.5  | -22.7              | -21.1  | -21.1       | -20.8 | -20.1 |
| External debt outstanding <sup>7/</sup>                | 50.7   | 66.5   | 88.4   | 94.7               | 90.0   | 91.0        | 91.7  | 89.6  |
| Debt service ratio <sup>8/</sup>                       |        |        |        |                    |        |             |       |       |
| Excluding the Fund                                     | 11.1   | 11.5   | 13.5   | 13.4               | 10.5   | 12.3        | 11.4  | 10.8  |
| Including the Fund                                     | 12.5   | 20.5   | 15.5   | 15.1               | 13.2   | 15.1        | 16.1  | 15.0  |
| Gross fixed investment                                 | 8.4    | 11.0   | 14.9   | 15.1               | 15.4   | 16.3        | 17.4  | 18.3  |
| Gross domestic savings                                 | -11.1  | -11.8  | -9.8   | -5.5               | -3.4   | -2.4        | -1.8  | -0.7  |
| Gross national savings                                 | 1.9    | 0.1    | 2.9    | 11.0               | 14.2   | 7.1         | 9.4   | 10.4  |
| Net official reserves                                  |        |        |        |                    |        |             |       |       |
| (in billions of CFA francs)                            | 13.4   | 4.1    | 8.6    | 36.3               | 40.2   | 48.6        | 54.7  | 56.1  |
| (in months of imports c.i.f.)                          | 1.3    | 0.4    | 0.5    | 2.3                | 2.2    | 2.4         | 2.5   | 2.3   |
| GDP at current market prices                           |        |        |        |                    |        |             |       |       |
| (in billions of CFA francs)                            | 350.6  | 291.0  | 453.0  | 422.8              | 475.4  | 522.3       | 562.4 | 609.1 |

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

- <sup>1/</sup> Consolidated operations of the Treasury, the CAA, and the public investment program.  
<sup>2/</sup> Changes as percent of broad money stock at beginning of period.  
<sup>3/</sup> Defined as the Treasury and the CAA.  
<sup>4/</sup> Including correction for currency notes not yet sorted at the BEAC national agency.  
<sup>5/</sup> GDP/Money M2.  
<sup>6/</sup> Including grants.  
<sup>7/</sup> Including arrears.  
<sup>8/</sup> Scheduled debt service in percent of exports of goods and nonfactor services.

Table 3. Chad: Quantitative and Structural Performance Criteria and Benchmarks  
Under the Stand-By Arrangement (SBA) and Staff-Monitored Program (SMP)

(In billions of CFA francs)

|                                                                                                                                                           | Cumulative change from 12/31/93 |              |                |              | Cumulative change from 9/30/94             |              |               |              |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------|--------------|----------------|--------------|--------------------------------------------|--------------|---------------|--------------|
|                                                                                                                                                           | End-June 1994                   |              | End-Sept. 1994 |              | End-Dec. 1994                              |              | End-Mar. 1995 |              |
|                                                                                                                                                           | SBA                             | Out-<br>come | SBA            | Out-<br>come | SMP                                        | Out-<br>come | SMP           | Out-<br>come |
| <b>A. Quantitative performance criteria and benchmarks</b>                                                                                                |                                 |              |                |              |                                            |              |               |              |
| Net domestic assets of the banking system                                                                                                                 | 19.31                           | 0.12         | 19.76          | -10.29       | 11.69                                      | 10.39        | 22.72         | 21.95        |
| Net credit of the banking system to the Government                                                                                                        | 8.26                            | 4.42         | 9.10           | -1.49        | 6.17                                       | 5.36         | 6.05          | 3.05         |
| Domestic payments arrears <u>1/</u>                                                                                                                       | -6.96                           | 3.92         | -10.96         | 2.88         | -3.90                                      | -0.08        | -3.90         | -3.05        |
| External payments arrears <u>1/</u>                                                                                                                       | --                              | 3.52         | -16.00         | 6.50         | -1.49                                      | 0.18         | -1.49         | 1.07         |
| Of which: in cash                                                                                                                                         | (--)                            | (--)         | (-2.20)        | (--)         | (-1.49)                                    | (-1.49)      | (-1.49)       | (-1.49)      |
| External loans contracted or guaranteed by the Government on nonconcessional terms:                                                                       |                                 |              |                |              |                                            |              |               |              |
| - less than 1 year's maturity <u>2/</u>                                                                                                                   | --                              | --           | --             | --           | --                                         | --           | --            | --           |
| - 1 to 15 years' maturity                                                                                                                                 | --                              | --           | --             | --           | --                                         | --           | --            | --           |
| Government wage bill <u>3/</u>                                                                                                                            | 12.63                           | 4.86         | 18.82          | 10.37        | 8.00                                       | 4.55         | 14.62         | 6.38         |
| Tax revenue <u>4/</u>                                                                                                                                     | 16.70                           | 9.55         | 26.00          | 19.20        | 6.30                                       | 6.58         | 13.80         | 15.05        |
| Of which: petroleum products                                                                                                                              | (2.12)                          | (0.59)       | (3.54)         | (1.38)       | (...)                                      | (...)        | (...)         | (...)        |
| <b>B. Structural benchmarks for end-December 1994</b>                                                                                                     |                                 |              |                |              |                                            |              |               |              |
|                                                                                                                                                           |                                 |              |                |              | <b>Status</b>                              |              |               |              |
| 1. Collection of tax arrears from the 20 largest firms (SBA)                                                                                              |                                 |              |                |              | Mostly done by end-March 1995              |              |               |              |
| 2. Reduction and consolidation of ministries' accounts with the banking system (SBA)                                                                      |                                 |              |                |              | Done                                       |              |               |              |
| 3. Increase in electricity rates of 10 percent (SMP)                                                                                                      |                                 |              |                |              | Done (Decree No. 056/MET/DG/DCI/94)        |              |               |              |
| 4. Promulgation of a law introducing excise taxes and a turnover tax (TCA) with two rates, at 5 percent (reduced rate) and 15 percent (normal rate) (SMP) |                                 |              |                |              | Done (Budget law for 1995; Loi No. 001/95) |              |               |              |
| 5. Elimination of export taxes on agricultural products (SMP)                                                                                             |                                 |              |                |              | Done (Budget law for 1995; Loi No. 001/95) |              |               |              |
| 6. Communication to the Fund of the results of a new census on military personnel (SMP)                                                                   |                                 |              |                |              | Done                                       |              |               |              |

Sources: Data provided by the Chadian authorities; and staff calculations.

1/ No new accumulation of arrears is allowed, with the exception of external debt service payments for which a rescheduling is foreseen. The reduction in domestic payments arrears may be affected by the availability of external financing; in the above table no external budgetary financing has been assumed.

2/ Excluding normal import-related credits, on disbursement basis.

3/ Measured on a commitment basis; cash payments at end-September amounted to CFAF 10.37 billion, against an initial objective of CFAF 18.82 billion; at end-December, cash payments amounted to CFAF 14.92 billion, and to CFAF 20.22 billion on a payment order basis, against an objective of CFAF 25.03 billion for the year as a whole.

4/ Including the former Caisse Autonome d'Amortissement.

Table 4. Chad: Technical Assistance

| Area |                                      | Objectives                                                                                                                                                                                                                                                                                                                  | Status and Financing                                                                                                                                                                                                                                                                                                 |
|------|--------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.   | Government revenue                   | <ul style="list-style-type: none"> <li>Rehabilitate customs administration and improve customs revenue collection, including duties on petroleum products.</li> <li>Strengthen the functioning of the tax department, prepare the introduction of a value-added tax, and study the system of direct taxes.</li> </ul>       | <ul style="list-style-type: none"> <li>Exploratory mission by FAD (Sept. 94) and assignment of a resident long-term FAD expert financed by the World Bank (Nov. 94-Oct. 95)</li> <li>FAD mission in 1996.</li> </ul>                                                                                                 |
| 2.   | Government current expenditures      | <ul style="list-style-type: none"> <li>Rationalize and restructure government current expenditures (notably in favor of priority sectors) through an annual public expenditure review and a reform of budgetary procedures.</li> <li>Keep government wage bill under control and undertake civil service reform.</li> </ul> | <ul style="list-style-type: none"> <li>Completion of the first public expenditure review in October 1995 (with the assistance of the World Bank).</li> <li>Completion of civil service census by September 1995 and of a comprehensive study on civil service reform by mid-1996 (World Bank assistance).</li> </ul> |
| 3.   | External debt                        | <ul style="list-style-type: none"> <li>Improve external debt management.</li> </ul>                                                                                                                                                                                                                                         | <ul style="list-style-type: none"> <li>To be implemented by end-1995 (World Bank assistance).</li> </ul>                                                                                                                                                                                                             |
| 4.   | Statistics                           | <ul style="list-style-type: none"> <li>Improve balance of payments statistics.</li> </ul>                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>STA mission in 1996.</li> </ul>                                                                                                                                                                                                                                               |
| 5.   | Public investment                    | <ul style="list-style-type: none"> <li>Annual update of the PIP.</li> </ul>                                                                                                                                                                                                                                                 | <ul style="list-style-type: none"> <li>World Bank assistance.</li> </ul>                                                                                                                                                                                                                                             |
| 6.   | Public enterprises                   | <ul style="list-style-type: none"> <li>Limit government participation in public enterprises through privatization or liquidation or, when needed, preliminary restructuring.</li> </ul>                                                                                                                                     | <ul style="list-style-type: none"> <li>Specific commission in charge of divestiture established in 1993. World Bank financing.</li> </ul>                                                                                                                                                                            |
| 7.   | Health                               | <ul style="list-style-type: none"> <li>Improve efficiency of financial management of Ministry of Health.</li> <li>Improve accessibility to essential low cost drugs.</li> <li>Strengthen national capacity to implement an effective population strategy, and contain the spread of HIV/AIDS/STDs.</li> </ul>               | <ul style="list-style-type: none"> <li>World Bank assistance.</li> <li>-"</li> <li>-"</li> </ul>                                                                                                                                                                                                                     |
| 8.   | Education                            | <ul style="list-style-type: none"> <li>Improve efficiency of financial management of the Ministry of Education.</li> <li>Train teachers.</li> </ul>                                                                                                                                                                         | <ul style="list-style-type: none"> <li>-"</li> <li>-"</li> </ul>                                                                                                                                                                                                                                                     |
| 9.   | Agriculture, livestock and fisheries | <ul style="list-style-type: none"> <li>Strengthen the agro-industry sector.</li> </ul>                                                                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>World Bank assistance.</li> </ul>                                                                                                                                                                                                                                             |
| 10.  | Transport and urbanization           | <ul style="list-style-type: none"> <li>Widen services and improve efficiency.</li> </ul>                                                                                                                                                                                                                                    | <ul style="list-style-type: none"> <li>-"</li> </ul>                                                                                                                                                                                                                                                                 |
| 11.  | Energy                               | <ul style="list-style-type: none"> <li>Implement a coherent national energy strategy.</li> </ul>                                                                                                                                                                                                                            | <ul style="list-style-type: none"> <li>-"</li> </ul>                                                                                                                                                                                                                                                                 |

Table 5. Chad: Saving-Investment Balance, 1992-98

|                                          | 1992  | 1993  | 1994   |       | 1995  | 1996        | 1997   | 1998   |
|------------------------------------------|-------|-------|--------|-------|-------|-------------|--------|--------|
|                                          |       |       | Prog.  | Est.  |       | Projections |        |        |
| (In billions of CFA francs)              |       |       |        |       |       |             |        |        |
| GDP at current prices                    | 350.6 | 291.0 | 453.0  | 422.8 | 475.4 | 522.3       | 562.4  | 609.1  |
| Domestic demand                          | 419.0 | 357.3 | 564.9  | 509.7 | 564.7 | 620.1       | 670.5  | 724.9  |
| Consumption                              | 389.6 | 325.4 | 497.5  | 445.9 | 491.4 | 534.9       | 572.8  | 613.1  |
| Private sector                           | 336.9 | 273.4 | 431.2  | 381.9 | 428.4 | 465.4       | 500.2  | 537.4  |
| Government                               | 52.7  | 51.9  | 66.3   | 64.1  | 63.0  | 69.5        | 72.6   | 75.7   |
| Investment                               | 29.4  | 31.9  | 67.4   | 63.8  | 73.2  | 85.2        | 97.7   | 111.8  |
| Private sector                           | 1.8   | 2.3   | 4.7    | 4.5   | 7.0   | 12.9        | 18.5   | 26.6   |
| Government                               | 27.6  | 29.6  | 62.7   | 59.2  | 66.3  | 72.3        | 79.2   | 85.1   |
| Net foreign balance                      | -68.4 | -66.3 | -111.9 | -86.9 | -89.3 | -97.8       | -108.1 | -115.8 |
| Exports of goods and nonfactor services  | 55.3  | 55.2  | 102.0  | 102.7 | 131.5 | 149.8       | 155.5  | 172.1  |
| Merchandise exports                      | 48.2  | 43.0  | 84.7   | 82.0  | 104.0 | 118.3       | 120.1  | 133.2  |
| Exports of nonfactor services            | 7.1   | 12.2  | 17.3   | 20.7  | 27.6  | 31.5        | 35.4   | 39.0   |
| Imports of goods and nonfactor services  | 123.7 | 121.5 | 213.9  | 189.6 | 220.8 | 247.6       | 263.6  | 287.9  |
| Merchandise imports                      | 64.3  | 58.1  | 110.3  | 105.1 | 115.5 | 131.0       | 138.9  | 154.4  |
| Imports of nonfactor services            | 59.3  | 63.4  | 103.6  | 84.5  | 105.3 | 116.6       | 124.7  | 133.5  |
| Gross domestic savings                   | -39.0 | -34.4 | -44.5  | -23.1 | -16.0 | -12.6       | -10.4  | -4.0   |
| Private sector                           | -17.7 | -11.6 | -21.4  | 9.8   | 4.3   | 6.3         | 3.9    | 1.6    |
| Government                               | -21.2 | -22.8 | -23.1  | -32.9 | -20.3 | -18.9       | -14.3  | -5.6   |
| Net transfers from abroad                | 45.0  | 38.0  | 70.2   | 74.1  | 89.6  | 58.3        | 71.8   | 76.9   |
| Net factor payments                      | 0.7   | -3.3  | -12.6  | -4.5  | -6.3  | -8.7        | -8.7   | -9.4   |
| Gross national savings                   | 6.7   | 0.3   | 13.0   | 46.5  | 67.3  | 37.0        | 52.7   | 63.4   |
| Saving-Investment                        | -68.4 | -66.3 | -111.9 | -86.9 | -89.3 | -97.8       | -108.1 | -115.8 |
| (In percent of GDP)                      |       |       |        |       |       |             |        |        |
| Domestic demand                          | 119.5 | 122.8 | 124.7  | 120.6 | 118.8 | 118.7       | 119.2  | 119.0  |
| Consumption                              | 111.1 | 111.8 | 109.8  | 105.5 | 103.4 | 102.4       | 101.8  | 100.7  |
| Private sector                           | 96.1  | 94.0  | 95.2   | 90.3  | 90.1  | 89.1        | 88.9   | 88.2   |
| Government                               | 15.0  | 17.8  | 14.6   | 15.1  | 13.3  | 13.3        | 12.9   | 12.4   |
| Investment                               | 8.4   | 11.0  | 14.9   | 15.1  | 15.4  | 16.3        | 17.4   | 18.3   |
| Private sector                           | 0.5   | 0.8   | 1.0    | 1.1   | 1.5   | 2.5         | 3.3    | 4.4    |
| Government                               | 7.9   | 10.2  | 13.8   | 14.0  | 13.9  | 13.8        | 14.1   | 14.0   |
| Net foreign balance                      | -19.5 | -22.8 | -24.7  | -20.6 | -18.8 | -18.7       | -19.2  | -19.0  |
| Exports of goods and nonfactor services  | 15.8  | 19.0  | 22.5   | 24.3  | 27.7  | 28.7        | 27.7   | 28.3   |
| Merchandise exports                      | 13.7  | 14.8  | 18.7   | 19.4  | 21.9  | 22.6        | 21.4   | 21.9   |
| Exports of nonfactor services            | 2.0   | 4.2   | 3.8    | 4.9   | 5.8   | 6.0         | 6.3    | 6.4    |
| Imports of goods and nonfactor services  | 35.3  | 41.8  | 47.2   | 44.9  | 46.4  | 47.4        | 46.9   | 47.3   |
| Merchandise imports                      | 18.3  | 20.0  | 24.3   | 24.9  | 24.3  | 25.1        | 24.7   | 25.3   |
| Imports of nonfactor services            | 16.9  | 21.8  | 22.9   | 20.0  | 22.2  | 22.3        | 22.2   | 21.9   |
| Gross domestic savings                   | -11.1 | -11.8 | -9.8   | -5.5  | -3.4  | -2.4        | -1.8   | -0.7   |
| Private sector                           | -5.1  | -4.0  | -4.7   | 2.3   | 0.9   | 1.2         | 0.7    | 0.3    |
| Government                               | -6.1  | -7.8  | -5.1   | -7.8  | -4.3  | -3.6        | -2.5   | -0.9   |
| Net transfers from abroad                | 12.8  | 13.1  | 15.5   | 17.5  | 18.8  | 11.2        | 12.8   | 12.6   |
| Net factor payments                      | 0.2   | -1.1  | -2.8   | -1.1  | -1.3  | -1.7        | -1.6   | -1.5   |
| Gross national savings                   | 1.9   | 0.1   | 2.9    | 11.0  | 14.2  | 7.1         | 9.4    | 10.4   |
| Private sector                           | -7.5  | -8.6  | -9.5   | 0.2   | -1.4  | -1.1        | -0.9   | -0.9   |
| Government                               | 9.4   | 8.7   | 12.4   | 10.8  | 15.6  | 8.2         | 10.2   | 11.3   |
| Saving-Investment                        | -19.5 | -22.8 | -24.7  | -20.6 | -18.8 | -18.7       | -19.2  | -19.0  |
| External current account                 |       |       |        |       |       |             |        |        |
| Including official transfers             | -6.5  | -10.9 | -12.0  | -4.1  | -1.3  | -9.2        | -8.0   | -7.9   |
| Excluding exceptional official transfers | -8.8  | -12.1 | -16.4  | -8.3  | -7.3  | -9.2        | -8.0   | -7.9   |
| Excluding official transfers             | -21.9 | -27.4 | -29.5  | -22.7 | -21.1 | -21.1       | -20.8  | -20.1  |

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

Table 6. Chad: Central Government Operations, 1992-98 <sup>1/</sup>

|                                         | 1992                | 1993    | 1994    |         | 1995    | 1996        | 1997    | 1998    |
|-----------------------------------------|---------------------|---------|---------|---------|---------|-------------|---------|---------|
|                                         |                     |         | Prog.   | Est.    |         | Projections |         |         |
| (In billions of CFA francs)             |                     |         |         |         |         |             |         |         |
| Total revenue and grants                | 55.01               | 50.36   | 78.39   | 75.40   | 87.44   | 87.31       | 105.16  | 119.38  |
| Total revenue                           | 31.42               | 29.15   | 43.17   | 31.17   | 42.73   | 50.57       | 58.33   | 70.11   |
| Tax revenue                             | 22.02               | 18.73   | 37.19   | 25.78   | 35.50   | 42.83       | 49.34   | 59.53   |
| Income tax                              | 8.68                | 6.86    | 9.23    | 8.37    | 11.93   | 14.41       | 17.85   | 22.23   |
| Tax on goods and services               | 7.56                | 6.77    | 13.99   | 9.13    | 10.81   | 13.79       | 14.50   | 15.53   |
| Of which: petroleum taxes               | (2.52)              | (2.45)  | (4.72)  | (2.25)  | (3.00)  | (4.50)      | (4.50)  | (4.70)  |
| Tax on international trade              | 4.92                | 3.96    | 8.65    | 6.20    | 11.54   | 13.15       | 15.16   | 19.49   |
| Other taxes                             | 0.87                | 1.14    | 5.32    | 2.07    | 1.22    | 1.48        | 1.83    | 2.28    |
| CAA's revenue                           | 3.50                | 3.87    | --      | --      | --      | --          | --      | --      |
| Of which: petroleum taxes               | (0.10)              | (0.33)  | (--)    | (--)    | (--)    | (--)        | (--)    | (--)    |
| Nontax revenue                          | 5.90                | 6.54    | 5.98    | 5.39    | 7.22    | 7.74        | 8.99    | 10.58   |
| Grants                                  | 23.59               | 21.22   | 35.22   | 44.23   | 44.71   | 36.74       | 46.83   | 49.27   |
| Of which: projects                      | (15.50)             | (15.38) | (35.22) | (44.23) | (44.71) | (36.74)     | (46.83) | (49.27) |
| Total expenditure                       | 96.03               | 83.78   | 128.99  | 123.29  | 129.30  | 141.80      | 151.84  | 160.89  |
| Current expenditure                     | 52.64               | 51.95   | 66.29   | 64.06   | 63.05   | 69.49       | 72.64   | 75.76   |
| Wages and salaries                      | 20.27               | 22.71   | 25.00   | 25.83   | 27.37   | 28.60       | 29.89   | 31.09   |
| Materials and supplies                  | 9.77                | 8.78    | 11.89   | 12.51   | 12.34   | 14.19       | 15.60   | 16.38   |
| Interest on domestic debt               | 0.50                | 0.60    | 0.86    | 1.13    | 1.59    | 1.60        | 1.60    | 1.60    |
| Interest on external debt               | 3.12                | 4.24    | 6.50    | 6.50    | 8.29    | 10.74       | 10.70   | 11.38   |
| Transfers                               | 3.61                | 2.35    | 8.56    | 3.89    | 4.42    | 4.62        | 4.76    | 4.90    |
| Others 2/                               | 3.91                | --      | --      | 0.56    | --      | --          | --      | --      |
| Defense 3/                              | 11.47               | 13.27   | 13.48   | 13.64   | 9.05    | 9.74        | 10.09   | 10.41   |
| Current primary balance                 | 5.98                | 3.25    | 19.46   | 18.97   | 34.26   | 30.16       | 44.82   | 56.60   |
| Excluding grants                        | -17.60              | -17.96  | -15.76  | -25.26  | -10.45  | -6.58       | -2.01   | 7.33    |
| Current balance (commitment basis)      | 2.36                | -1.58   | 12.10   | 11.34   | 24.39   | 17.82       | 32.52   | 43.62   |
| Excluding grants                        | -21.22              | -22.80  | -23.12  | -32.89  | -20.32  | -18.92      | -14.31  | -5.65   |
| Investment expenditure                  | 27.62               | 29.63   | 62.70   | 59.23   | 66.25   | 72.31       | 79.20   | 85.12   |
| Domestically financed                   | 0.92                | 1.30    | 4.00    | 1.20    | 1.50    | 2.00        | 3.00    | 3.00    |
| Foreign financed                        | 26.70               | 28.33   | 58.70   | 58.03   | 64.75   | 70.31       | 76.20   | 82.12   |
| Restructuring of banking system         | 15.76               | 2.20    | --      | --      | --      | --          | --      | --      |
| Overall balance (commitment basis)      | -41.02              | -33.42  | -50.60  | -47.89  | -41.86  | -54.48      | -46.69  | -41.50  |
| Excluding grants                        | -64.61              | -54.63  | -85.82  | -92.12  | -86.58  | -91.23      | -93.52  | -90.77  |
| Change in payments arrears              | 11.08               | 15.25   | -22.33  | 5.12    | -13.85  | -9.37       | -5.50   | -3.90   |
| External (interest)                     | 1.75                | 2.85    | -9.87   | 2.33    | -10.18  | --          | --      | --      |
| Domestic                                | 9.33                | 12.40   | -12.46  | 2.79    | -3.67   | -9.37       | -5.50   | -3.90   |
| Overall balance (cash basis)            | -29.94              | -18.17  | -72.93  | -42.77  | -55.71  | -63.86      | -52.19  | -45.40  |
| Excluding grants                        | -53.52              | -39.38  | -108.15 | -87.00  | -100.42 | -100.60     | -99.02  | -94.67  |
| Financing                               | 29.94               | 18.17   | -5.86   | 5.37    | 6.35    | 21.16       | 13.45   | 19.97   |
| External (net)                          | 10.61               | 11.45   | -2.39   | 14.49   | 10.34   | 24.98       | 21.37   | 24.84   |
| Loans                                   | 11.88               | 12.95   | 23.48   | 13.80   | 20.04   | 33.57       | 29.37   | 32.85   |
| Amortization due                        | -3.79               | -6.59   | -7.85   | -7.85   | -6.27   | -8.59       | -8.00   | -8.01   |
| Change in external arrears (principal)  | 2.51                | 5.10    | -22.22  | 4.35    | -18.61  | --          | --      | --      |
| Debt relief/rescheduling 4/             | --                  | --      | 4.19    | 4.19    | 15.17   | --          | --      | --      |
| Domestic (net)                          | 19.33               | 6.71    | -3.47   | -9.12   | -3.98   | -3.81       | -7.92   | -4.87   |
| Banking system                          | 17.65               | 3.82    | -3.17   | -6.62   | -2.55   | -3.32       | -7.20   | -3.57   |
| Central Bank                            | 17.03               | 2.50    | -2.50   | -3.33   | -2.69   | -3.32       | -7.20   | -3.57   |
| Commercial banks                        | 0.62                | 1.32    | -0.67   | -3.29   | 0.14    | --          | --      | --      |
| Nonbank sector                          | 1.68                | 2.89    | -0.30   | -2.50   | -1.44   | -0.49       | -0.72   | -1.30   |
| Financial gap                           | --                  | --      | 78.79   | 37.39   | 49.36   | 42.70       | 38.74   | 25.43   |
| Exceptional financing                   | ...                 | ...     | 58.98   | 37.39   | 16.50   | 25.46       | 25.70   | 11.69   |
| IMF                                     | ...                 | ...     | 11.44   | 8.27    | 6.37    | 12.82       | 12.93   | 6.54    |
| World Bank                              | ...                 | ...     | 17.85   | 11.27   | 10.13   | 12.64       | 12.77   | 5.15    |
| EU                                      | ...                 | ...     | 9.90    | 6.46    | --      | --          | --      | --      |
| Bilateral donors                        | ...                 | ...     | 19.78   | 11.40   | --      | --          | --      | --      |
| Postal/hospital debt postponement       | ...                 | ...     | --      | --      | --      | --          | --      | --      |
| Residual gap                            | ...                 | ...     | 19.81   | --      | 32.86   | 17.23       | 13.04   | 13.74   |
| Memorandum items:                       | (In percent of GDP) |         |         |         |         |             |         |         |
| Revenue                                 | 9.0                 | 10.0    | 9.5     | 7.4     | 9.0     | 9.7         | 10.4    | 11.5    |
| Grants                                  | 6.7                 | 7.3     | 7.8     | 10.5    | 9.4     | 7.0         | 8.3     | 8.1     |
| Current expenditure                     | 15.0                | 17.9    | 14.6    | 15.2    | 13.3    | 13.3        | 12.9    | 12.4    |
| Total expenditure                       | 27.4                | 28.8    | 28.5    | 29.2    | 27.2    | 27.1        | 27.0    | 26.4    |
| Government balance 5/                   | -5.0                | -6.2    | -3.5    | -6.0    | -2.2    | -1.3        | -0.4    | 1.2     |
| Current primary balance                 | -6.1                | -7.8    | -5.1    | -7.8    | -4.3    | -3.6        | -2.5    | -0.9    |
| Current balance                         | -18.4               | -18.8   | -18.9   | -21.8   | -18.2   | -17.5       | -16.6   | -14.9   |
| Overall balance                         | -11.7               | -11.5   | -11.2   | -11.3   | -8.8    | -10.4       | -8.3    | -6.8    |
| Including grants                        | 2.6                 | 2.8     | 4.7     | 2.3     | 3.0     | 4.5         | 4.5     | 4.7     |
| Petroleum tax revenue                   | 2.6                 | 2.8     | 4.7     | 2.3     | 3.0     | 4.5         | 4.5     | 4.7     |
| Nominal GDP (in billions of CFA francs) | 350.8               | 291.0   | 453.0   | 422.8   | 475.4   | 522.3       | 562.4   | 609.1   |

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

<sup>1/</sup> Defined as the Treasury and the CAA.

<sup>2/</sup> Mainly extrabudgetary security-related outlays.

<sup>3/</sup> Including salaries, materials and supplies, and demobilization outlays.

<sup>4/</sup> Includes for 1995 the effects of the February 1995 Paris Club rescheduling of debt service and arrears through end-March 1995.

<sup>5/</sup> On a commitment basis, excluding grants.

Table 7. Chad: Monetary Survey, 1992-96

|                                                                       | 1992<br>Dec. | 1993<br>Dec. 1/ | 1994<br>Dec. | 1995<br>June | 1995<br>Sept. | 1995<br>Dec. | 1996<br>March | 1996<br>June | 1996<br>Dec. |
|-----------------------------------------------------------------------|--------------|-----------------|--------------|--------------|---------------|--------------|---------------|--------------|--------------|
|                                                                       |              |                 |              | Program      | Program       | Program      | Program       | Program      |              |
| (In millions of CFA francs)                                           |              |                 |              |              |               |              |               |              |              |
| Net foreign assets                                                    | 13,218       | -1,574          | 30,248       | 28,720       | 32,310        | 35,560       | 31,798        | 39,956       | 44,239       |
| Central Bank                                                          | 13,392       | 8,546           | 36,270 2/    | 33,360       | 36,950        | 40,200       | 36,438        | 44,596       | 48,579       |
| Commercial banks                                                      | 2,629        | -4,514          | -416         | 966          | 966           | 966          | 966           | 966          | 1,266        |
| Postal debt                                                           | -2,803       | -5,606          | -5,606       | -5,606       | -5,606        | -5,606       | -5,606        | -5,606       | -5,606       |
| Medium- and long-term<br>financial liabilities                        | -1,059       | -412            | -729         | -165         | -165          | -165         | -165          | -165         | -165         |
| Net domestic assets                                                   | 48,646       | 49,649          | 49,750       | 53,915       | 53,580        | 57,306       | 73,818        | 64,320       | 58,737       |
| Domestic credit                                                       | 65,135       | 72,151          | 79,218       | 80,695       | 80,360        | 84,086       | 100,598       | 91,100       | 85,517       |
| Claims on the Government (net)                                        | 31,205       | 44,071          | 47,942       | 44,979       | 51,194        | 49,543       | 49,543        | 54,276       | 56,236       |
| Treasury and CAA (net)                                                | 30,245       | 43,980          | 43,421       | 42,678       | 48,893        | 47,242       | 47,242        | 51,975       | 56,738       |
| Central Bank                                                          | 31,075       | 41,422          | 44,868       | 43,346       | 50,200        | 48,549       | 48,549        | 53,282       | 58,045       |
| Commercial banks                                                      | -830         | 2,558           | -1,447       | -1,168       | -1,307        | -1,307       | -1,307        | -1,307       | -1,307       |
| Others                                                                | 960          | 91              | 4,521        | 2,301        | 2,301         | 2,301        | 2,301         | 2,301        | -502         |
| Credit to the economy                                                 | 33,930       | 28,080          | 31,276       | 35,716       | 29,166        | 34,543       | 51,055        | 36,824       | 29,281       |
| Other items (net)                                                     | -16,489      | -22,502         | -29,468      | -26,780      | -26,780       | -26,780      | -26,780       | -26,780      | -26,780      |
| Of which: revaluation                                                 | (--)         | (-9,825)        | (-9,825)     | (-9,825)     | (-9,825)      | (-9,825)     | (-9,825)      | (-9,825)     | (-9,825)     |
| Money and quasi-money                                                 | 60,805       | 47,663          | 79,269       | 82,469       | 85,725        | 92,701       | 105,451       | 104,110      | 102,811      |
| Currency outside banks                                                | 47,128       | 35,838          | 56,298 2/    | 52,368       | 55,721        | 60,719       | 78,034        | 72,877       | 65,799       |
| Demand deposits                                                       | 10,116       | 9,622           | 20,108       | 24,683       | 24,603        | 26,225       | 21,934        | 25,611       | 30,999       |
| Time and savings deposits                                             | 3,561        | 2,203           | 2,863        | 5,418        | 5,401         | 5,757        | 5,483         | 5,622        | 6,013        |
| (Annual changes in percent of broad money at the beginning of period) |              |                 |              |              |               |              |               |              |              |
| Net foreign assets                                                    | -11.4        | -24.3           | 66.8         | -1.9         | 2.6           | 6.7          | -4.1          | 4.7          | 9.4          |
| Central Bank                                                          | -10.9        | -8.0            | 58.2 2/      | -3.7         | 0.9           | 5.0          | -4.1          | 4.7          | 9.0          |
| Commercial banks                                                      | -0.5         | -11.7           | 8.6          | 1.7          | 1.7           | 1.7          | --            | --           | 0.3          |
| Postal debt                                                           | --           | -4.6            | --           | --           | --            | --           | --            | --           | --           |
| Medium- and long-term<br>financial liabilities                        | -0.7         | 1.1             | -0.7         | --           | --            | --           | --            | --           | --           |
| Net domestic assets                                                   | 2.2          | 1.6             | 0.2          | 5.3          | 4.8           | 9.5          | 17.8          | 7.6          | 1.5          |
| Domestic credit                                                       | 15.1         | 11.5            | 14.8         | 1.9          | 1.4           | 6.1          | 17.8          | 7.6          | 1.5          |
| Claims on the Government (net)                                        | 32.7         | 21.2            | 8.1          | -3.7         | 4.1           | 2.0          | --            | 5.1          | 7.2          |
| Treasury and CAA (net)                                                | 23.3         | 22.6            | -1.2         | -0.9         | 6.9           | 4.8          | --            | 5.1          | 10.2         |
| Central Bank                                                          | 24.8         | 17.0            | 7.2          | -1.3         | 6.7           | 4.6          | --            | 5.1          | 10.2         |
| Commercial banks                                                      | -1.5         | 5.6             | -8.4         | 0.4          | 0.2           | 0.2          | --            | --           | --           |
| Others                                                                | 9.5          | -1.4            | 9.3          | -2.8         | -2.8          | -2.8         | --            | --           | -3.0         |
| Credit to the economy                                                 | -17.7        | -9.6            | 6.7          | 5.6          | -2.7          | 4.1          | 17.8          | 2.5          | -5.7         |
| (annual change/in percent)                                            | -26.0        | -17.2           | 11.4         | 31.3         | 17.3          | 10.4         | 20.2          | 3.1          | -15.2        |
| Other items (net)                                                     | -12.9        | -9.9            | -14.6        | 3.4          | 3.4           | 3.4          | --            | --           | --           |
| Money and quasi-money                                                 | -9.9         | -21.6           | 66.3         | 4.0          | 8.1           | 16.9         | 13.8          | 12.3         | 10.9         |
| Currency outside banks                                                | -3.7         | -18.6           | 42.9 2/      | -5.0         | -0.7          | 5.6          | 18.7          | 13.1         | 5.5          |
| Demand deposits                                                       | -7.6         | -0.8            | 22.0         | 5.8          | 5.7           | 7.7          | -4.6          | -0.7         | 5.1          |
| Time and savings deposits                                             | 1.4          | -2.2            | 1.4          | 3.2          | 3.2           | 3.7          | -0.3          | -0.1         | 0.3          |
| Velocity (GDP/Broad money)                                            | 5.8          | 6.8             | 5.3          | 5.8          | 5.5           | 5.1          | 5.0           | 5.0          | 5.1          |
| Nominal GDP (in billions<br>of CFA francs)                            | 350.8        | 322.0           | 422.8        | 475.4        | 475.4         | 475.4        | 522.3         | 522.3        | 522.3        |

Sources: Data provided by the BEAC; and staff estimates and projections.

1/ After inclusion of valuation effects of the devaluation (backdated to December 1993).

2/ Including some CFAF 16.6 billion, or 50 percent, of the amount of currency notes not yet sorted at the national BEAC agency.

Table 8. Chad: Summary Accounts of the Central Bank and Commercial Banks, 1993-96

(In millions of CFA francs; end of period)

|                                           | 1993<br>Dec. 1/ | 1994     |         |         |           | 1995<br>March | 1995         |                  |         | 1996             |                 |
|-------------------------------------------|-----------------|----------|---------|---------|-----------|---------------|--------------|------------------|---------|------------------|-----------------|
|                                           |                 | March    | June    | Sept.   | Dec.      |               | June<br>Est. | Sept.<br>Program | Dec.    | March<br>Program | June<br>Program |
| Central Bank (BEAC)                       |                 |          |         |         |           |               |              |                  |         |                  |                 |
| Net foreign assets                        | 8,546           | 18,826   | 40,790  | 46,019  | 36,270    | 26,834        | 33,360       | 36,950           | 40,200  | 36,438           | 44,596          |
| Assets                                    | 25,184          | 48,706   | 64,799  | 69,404  | 59,538 3/ | 48,734        | 54,086       | 64,030           | 65,629  | 61,867           | 74,758          |
| Liabilities                               | -16,638         | -29,880  | -24,009 | -23,385 | -23,268   | -21,900       | -20,726      | -27,080          | -25,429 | -25,429          | -30,162         |
| Net domestic assets                       | 41,996          | 51,267   | 40,281  | 35,521  | 40,101    | 49,432        | 38,279       | 44,634           | 42,983  | 57,483           | 48,966          |
| Net credit to the Government              | 41,422          | 44,130   | 46,399  | 41,265  | 44,865    | 44,497        | 43,846       | 50,200           | 48,549  | 48,549           | 53,282          |
| Claims                                    | 41,964          | 50,229   | 49,313  | 48,790  | 48,475    | 47,166        | 45,992       | 52,346           | 50,695  | 50,695           | 55,428          |
| Deposits                                  | -542            | -6,099   | -2,914  | -7,525  | -3,610    | -2,669        | -2,146       | -2,146           | -2,146  | -2,146           | -2,146          |
| Claims on commercial banks                | 5,882           | 10,260   | --      | --      | 500       | 10,500        | --           | --               | --      | 14,500           | 1,250           |
| Other items, net                          | -5,308          | -3,123   | -6,118  | -5,744  | -5,264    | -5,565        | -5,567       | -5,566           | -5,566  | -5,566           | -5,566          |
| Revaluation account                       | -12,288         | -12,288  | -12,288 | -12,288 | -12,288   | -12,288       | -12,288      | -12,288          | -12,288 | -12,288          | -12,288         |
| Base money                                | 38,254          | 57,805   | 68,783  | 69,252  | 64,083    | 63,978        | 59,351       | 69,296           | 70,895  | 81,633           | 81,274          |
| Currency outside banks                    | 35,838          | 53,829   | 58,251  | 56,759  | 56,298 3/ | 57,413        | 52,368       | 55,721           | 60,719  | 78,034           | 72,877          |
| Banks' deposits and cash holdings         | 1,975           | 3,756    | 9,145   | 10,672  | 6,403     | 6,213         | 6,631        | 11,754           | 8,794   | 3,247            | 8,045           |
| Other deposits 2/                         | 441             | 220      | 1,387   | 1,821   | 1,382     | 352           | 352          | 1,821            | 1,382   | 352              | 352             |
| Commercial banks                          |                 |          |         |         |           |               |              |                  |         |                  |                 |
| Net foreign assets                        | -4,514          | 5,712    | 530     | 1,919   | -416      | 966           | 966          | 966              | 966     | 966              | 966             |
| Assets                                    | 5,038           | 5,712    | 5,560   | 6,165   | 5,931     | 6,403         | 6,403        | 6,403            | 6,403   | 6,403            | 6,403           |
| Liabilities                               | -9,552          | --       | -5,030  | -4,246  | -6,347    | -5,437        | -5,437       | -5,437           | -5,437  | -5,437           | -5,437          |
| Net domestic assets                       | 22,445          | 6,995    | 18,444  | 12,754  | 19,058    | 31,273        | 24,522       | 17,833           | 23,210  | 39,722           | 25,490          |
| Net credit to the Government              | -2,957          | -6,771   | -3,511  | -4,288  | -2,529    | -4,472        | -4,473       | -4,612           | -4,612  | -4,612           | -4,612          |
| Claims                                    | 3,571           | --       | 2,777   | 2,329   | 2,377     | 2,171         | 2,170        | 2,031            | 2,031   | 2,031            | 2,031           |
| Deposits                                  | -6,528          | -6,771   | -6,288  | -6,617  | -4,906    | -6,643        | -6,643       | -6,643           | -6,643  | -6,643           | -6,643          |
| Credit to the private sector              | 28,080          | 37,010   | 27,197  | 24,857  | 31,276    | 42,467        | 35,716       | 29,166           | 34,543  | 51,055           | 36,824          |
| Of which: crop credit                     | (5,147)         | (14,032) | (4,410) | (690)   | (5,976)   | (14,877)      | (8,126)      | (4,999)          | (8,699) | (23,465)         | (12,657)        |
| Other items, net                          | -2,678          | -23,244  | -5,242  | -7,815  | -9,689    | -6,722        | -6,721       | -6,721           | -6,721  | -6,721           | -6,722          |
| Reserves                                  | 1,975           | 3,756    | 9,145   | 10,672  | 6,403     | 6,213         | 6,631        | 11,754           | 8,794   | 3,247            | 8,045           |
| Central bank liabilities                  | -5,882          | -10,260  | --      | --      | -500      | -10,500       | --           | --               | --      | -14,500          | -1,250          |
| Medium- and long-term foreign liabilities | -412            | -582     | -2,129  | -129    | -729      | -165          | -165         | -165             | -165    | -165             | -165            |
| Revaluation account                       | -2,463          | -2,463   | -2,463  | -2,463  | -2,463    | -2,463        | -2,463       | -2,463           | -2,463  | -2,463           | -2,463          |
| Private sector deposits                   | 11,149          | 3,158    | 23,527  | 22,753  | 21,353    | 25,324        | 29,491       | 27,925           | 30,342  | 26,807           | 30,623          |

Sources: BEAC; and staff estimates.

1/ After inclusion of valuation effects of the devaluation (backdated to December 1993).

2/ Financial institutions and public enterprises.

3/ Including some CFAF 16.6 billion, or 50 percent, of the amount of currency notes not yet sorted at the national BEAC agency.

Table 9. Chad: Balance of Payments, 1992-2000

|                                                  | 1992                                               | 1993<br>Est. | 1994<br>Prog. | 1994<br>Est. | 1995   | 1996    | 1997    | 1998    | 1999    | 2000    |
|--------------------------------------------------|----------------------------------------------------|--------------|---------------|--------------|--------|---------|---------|---------|---------|---------|
|                                                  | Projections                                        |              |               |              |        |         |         |         |         |         |
|                                                  | (In billions of CFA francs)                        |              |               |              |        |         |         |         |         |         |
| Exports, f.o.b.                                  | 48.2                                               | 43.0         | 84.7          | 82.0         | 104.0  | 118.3   | 120.1   | 133.1   | 153.6   | 169.0   |
| Of which: cotton                                 | (25.3)                                             | (16.2)       | (25.6)        | (29.0)       | (52.1) | (62.5)  | (58.7)  | (60.4)  | (68.3)  | (71.9)  |
| Imports, f.o.b.                                  | -64.3                                              | -58.1        | -110.3        | -105.1       | -115.5 | -131.0  | -138.9  | -154.4  | -167.7  | -182.5  |
| Trade balance (deficit -)                        | -16.1                                              | -15.1        | -25.6         | -23.1        | -11.5  | -12.7   | -18.8   | -21.3   | -14.1   | -13.5   |
| Services (net)                                   | -51.5                                              | -54.5        | -98.9         | -68.3        | -84.0  | -93.8   | -98.1   | -103.9  | -108.2  | -111.4  |
| Nonfactor services (net)                         | -52.3                                              | -51.2        | -86.3         | -63.8        | -77.7  | -85.1   | -89.4   | -94.5   | -98.3   | -101.0  |
| Factor services (net)                            | 0.7                                                | -3.3         | -12.6         | -4.5         | -6.3   | -8.7    | -8.7    | -9.4    | -9.9    | -10.4   |
| Of which: public interest payments               | (-3.1)                                             | (-3.7)       | (-6.5)        | (-6.5)       | (-8.3) | (-10.7) | (-10.7) | (-11.4) | (-11.9) | (-12.4) |
| Transfers                                        | 36.9                                               | 34.4         | 70.2          | 56.2         | 60.7   | 58.4    | 71.8    | 76.9    | 86.9    | 11.1    |
| Private (net)                                    | -9.1                                               | -10.0        | -9.1          | -4.6         | -4.7   | -3.5    | -0.1    | 2.5     | 3.6     | 4.7     |
| Official (net) (excluding exceptional financing) | 46.0                                               | 44.4         | 79.3          | 60.8         | 65.4   | 61.8    | 71.9    | 74.4    | 83.4    | 83.4    |
| Current account (deficit -)                      | -30.8                                              | -35.2        | -54.4         | -35.2        | -34.8  | -48.1   | -45.1   | -48.3   | -35.3   | -36.8   |
| Excluding official transfers                     | -76.8                                              | -79.6        | -133.7        | -96.0        | -100.3 | -110.0  | -117.0  | -122.7  | -118.7  | -120.2  |
| Nonmonetary capital                              | 9.1                                                | 14.7         | 14.3          | 8.4          | 10.8   | 27.0    | 25.4    | 30.8    | 35.0    | 35.5    |
| Direct investment (net)                          | 0.8                                                | 6.1          | 3.5           | 3.7          | --     | 1.0     | 3.0     | 5.0     | 7.5     | 8.0     |
| Long term (net)                                  | 18.2                                               | 32.0         | 15.7          | 6.0          | 13.8   | 25.0    | 21.4    | 24.8    | 26.5    | 26.5    |
| Drawings                                         | 21.3                                               | 34.8         | 23.5          | 13.8         | 20.0   | 33.6    | 29.4    | 32.8    | 34.5    | 34.5    |
| Amortization                                     | -3.1                                               | -2.8         | -7.8          | -7.8         | -6.3   | -8.6    | -8.0    | -8.0    | -8.0    | -8.0    |
| Short term (net)                                 | -10.0                                              | -23.4        | -4.9          | -1.3         | -3.0   | 1.0     | 1.0     | 1.0     | 1.0     | 1.0     |
| Monetary capital (net)                           | 0.8                                                | 4.9          | 0.2           | -1.8         | -1.4   | -0.3    | --      | --      | --      | --      |
| Errors and omissions                             | 2.3                                                | 0.2          | --            | 20.5         | --     | --      | --      | --      | --      | --      |
| Overall balance                                  | -18.6                                              | -15.5        | -39.9         | -8.1         | -25.5  | -21.5   | -19.7   | -17.5   | -0.3    | -1.3    |
| Financing                                        | 18.6                                               | 15.5         | 39.9          | 8.1          | 25.5   | 21.5    | 19.7    | 17.5    | 0.3     | 1.3     |
| Change in net official reserves                  | 7.2                                                | 9.0          | 0.5           | -31.8        | -3.9   | -8.4    | -6.1    | -1.4    | 0.3     | 1.3     |
| Of which: use of Fund resources (net)            | (--)                                               | (-0.5)       | (9.7)         | (7.0)        | (3.5)  | (9.4)   | (6.4)   | (--)    | (-2.8)  | (-0.5)  |
| Debt relief                                      | --                                                 | --           | 4.2           | 4.2          | 15.2   | --      | --      | --      | --      | --      |
| Exceptional financing                            | 8.8                                                | 3.7          | 47.5          | 29.1         | 10.1   | 12.6    | 12.8    | 5.2     | --      | --      |
| Multilateral creditors                           | 0.7                                                | --           | 27.8          | 17.7         | 10.1   | 12.6    | 12.8    | 5.2     | --      | --      |
| Bilateral creditors                              | 8.1                                                | 3.7          | 19.8          | 11.4         | --     | --      | --      | --      | --      | --      |
| Change in external arrears (increase +)          | 2.6                                                | 2.9          | -32.1         | 6.7          | -28.8  | --      | --      | --      | --      | --      |
| Financing gap                                    | --                                                 | --           | 19.8          | --           | 32.9   | 17.2    | 13.0    | 13.7    | --      | --      |
| Memorandum items:                                | (In percentage of GDP, unless otherwise specified) |              |               |              |        |         |         |         |         |         |
| Trade balance (deficit -)                        | -4.6                                               | -5.2         | -5.7          | -5.5         | -2.4   | -2.4    | -3.3    | -3.5    | -2.1    | -1.9    |
| Current account (deficit -)                      | -6.5                                               | -10.9        | -12.0         | -4.1         | -1.3   | -9.2    | -8.0    | -7.9    | -5.3    | -5.1    |
| Excluding official exceptional transfers         | -8.8                                               | -12.1        | -16.4         | -8.3         | -7.3   | -9.2    | -8.0    | -7.9    | -5.3    | -5.1    |
| Excluding official transfers                     | -21.9                                              | -27.4        | -29.5         | -22.7        | -21.1  | -21.1   | -20.8   | -20.1   | -18.0   | -16.8   |
| Overall balance (deficit -)                      | -5.3                                               | -5.3         | -8.8          | -1.9         | -5.4   | -4.1    | -3.5    | -2.9    | --      | -0.2    |
| Public external debt 1/                          |                                                    |              |               |              |        |         |         |         |         |         |
| (in billions of CFA francs)                      | 177.8                                              | 193.6        | 400.6         | 400.6        | 428.0  | 475.1   | 515.6   | 545.6   | 569.3   | 595.3   |
| (in percent of GDP)                              | 50.7                                               | 66.5         | 88.4          | 94.7         | 90.0   | 91.0    | 91.7    | 89.6    | 86.1    | 83.0    |
| Debt service 2/                                  | 1.7                                                | 2.2          | 3.0           | 3.2          | 2.9    | 3.5     | 3.2     | 3.0     | 2.9     | 2.8     |
| Debt service ratio 2/ 3/                         | 11.1                                               | 11.5         | 13.5          | 13.4         | 10.5   | 12.3    | 11.4    | 10.8    | 9.8     | 9.1     |
| Gross official reserves                          |                                                    |              |               |              |        |         |         |         |         |         |
| (in billions of CFA francs)                      | 13.4                                               | 4.4          | 8.6           | 36.3         | 40.2   | 48.6    | 54.7    | 56.1    | 55.8    | 54.4    |
| (in months of imports, c.i.f.)                   | 1.3                                                | 0.4          | 0.5           | 2.3          | 2.2    | 2.4     | 2.5     | 2.3     | 2.2     | 2.0     |
| Resource balance (deficit -)                     |                                                    |              |               |              |        |         |         |         |         |         |
| (in billions of CFA francs)                      | -68.4                                              | -66.3        | -111.9        | -86.9        | -89.3  | -97.8   | -108.2  | -115.8  | -112.4  | -114.5  |
| (in percent of GDP)                              | -19.5                                              | -22.8        | -24.7         | -20.6        | -18.8  | -18.7   | -19.2   | -19.0   | -17.0   | -16.0   |
| Exchange rate CFAF/US\$ (annual average)         | 264.7                                              | 283.2        | 569.1         | 555.2        | 506.5  | 505.6   | 510.7   | 515.1   | 519.5   | 523.9   |
| Exchange rate CFAF/SDR (annual average)          | 372.7                                              | 395.3        | 815.0         | 795.0        | 770.9  | 776.1   | 782.9   | 791.7   | 801.6   | 807.9   |

Sources: Data provided by the BEAC; and staff estimates and projections.

<sup>1/</sup> Stock of the direct and guaranteed public foreign debt (including to the Fund).

<sup>2/</sup> Excluding to the Fund.

<sup>3/</sup> In percent of exports of goods and nonfactor services.



Table 10. Chad: Sensitivity Analysis of Balance of Payments Projections, 1995-98

|                                                        | Baseline scenario |        |        |        | Scenario I 1/ |        |        | Scenario II 2/ |        |        |
|--------------------------------------------------------|-------------------|--------|--------|--------|---------------|--------|--------|----------------|--------|--------|
|                                                        | 1995              | 1996   | 1997   | 1998   | 1996          | 1997   | 1998   | 1996           | 1997   | 1998   |
| International price of cotton (cts/lb)                 | 100.6             | 86.4   | 76.6   | 78.1   | 86.4          | 58.0   | 58.0   | 86.4           | 76.6   | 78.1   |
| Cotton export receipts (in billions of CFA francs)     | 52.1              | 62.5   | 58.7   | 60.4   | 62.5          | 44.4   | 44.8   | 62.5           | 58.7   | 60.4   |
| Price index for manufactured goods 3/                  | 141.1             | 143.9  | 146.1  | 148.4  | 143.9         | 146.1  | 148.4  | 158.3          | 160.7  | 163.2  |
| Import payments (in billions of CFA francs)            | -115.5            | -131.0 | -138.9 | -154.4 | -131.0        | -138.9 | -154.4 | -134.8         | -142.8 | -158.7 |
| Trade balance                                          |                   |        |        |        |               |        |        |                |        |        |
| In billions of CFA francs                              | -11.5             | -12.7  | -18.8  | -21.3  | -12.7         | -33.1  | -36.9  | -16.4          | -22.7  | -25.7  |
| In percent of GDP                                      | -2.4              | -2.4   | -3.3   | -3.5   | -2.4          | -5.9   | -6.1   | -3.1           | -4.0   | -4.2   |
| Current account balance (excluding official transfers) |                   |        |        |        |               |        |        |                |        |        |
| In billions of CFA francs                              | -100.3            | -110.0 | -117.0 | -122.7 | -110.0        | -131.5 | -138.5 | -117.6         | -124.9 | -131.3 |
| In percent of GDP                                      | -21.1             | -21.1  | -20.8  | -20.1  | -21.1         | -23.4  | -22.7  | -22.5          | -22.2  | -21.6  |
| Overall balance                                        |                   |        |        |        |               |        |        |                |        |        |
| In billions of CFA francs                              | -25.5             | -21.5  | -19.7  | -17.5  | -21.5         | -34.2  | -33.3  | -29.1          | -27.6  | -26.1  |
| In percent of GDP                                      | -4.1              | -3.2   | -3.5   | -2.9   | -4.1          | -6.1   | -5.5   | -5.6           | -4.9   | -4.3   |
| Debt service ratio 4/                                  | 10.5              | 12.3   | 11.4   | 10.8   | 12.3          | 12.6   | 11.9   | 12.3           | 11.4   | 10.8   |

Source: Staff projections.

1/ Cotton price during 1997-98 equal to average over 1992-93.

2/ Manufactured goods price index 10 percent higher than WEO projections.

3/ 1990 = 100, on the basis of U.S. dollar prices.

4/ In percent of exports of goods and nonfactor services.

Table 11. Chad: Proposed Schedule of Disbursements  
 Under ESAF Arrangements, 1995-98

| Amount                     | Available dates       | Conditions necessary for<br>disbursement <u>1/</u>                                                                          |
|----------------------------|-----------------------|-----------------------------------------------------------------------------------------------------------------------------|
| SDR 8.26 million <u>2/</u> | After August 31, 1995 | Executive Board approval of first annual arrangement.                                                                       |
| SDR 8.26 million           | After March 31, 1996  | Compliance with the performance criteria for December 31, 1995, completion of the midterm review under the arrangement.     |
| SDR 8.26 million           | After August 31, 1996 | Executive Board approval of the second annual arrangement.                                                                  |
| SDR 8.26 million           | After March 31, 1997  | Compliance with the performance criteria for December 31, 1996, and completion of the midterm review under the arrangement. |
| SDR 8.26 million           | After August 31, 1997 | Executive Board approval of the third annual arrangement.                                                                   |
| SDR 8.26 million           | After March 31, 1998  | Compliance with the performance criteria for December 31, 1997, and conclusion of the midterm review under the arrangement. |

Source: IMF.

1/ Other than generally applicable conditions under the ESAF arrangements, including the performance clause on the exchange and trade system.

2/ 20 percent of quota.

Table 12. Chad: Indicators of Fund Credit and Debt Servicing, 1992-2005

(In percent)

|                                                                     | 1992    | 1993 | 1994 | 1995 | 1996  | 1997  | 1998  | 1999        | 2000  | 2001  | 2002  | 2003 | 2004 | 2005 |
|---------------------------------------------------------------------|---------|------|------|------|-------|-------|-------|-------------|-------|-------|-------|------|------|------|
|                                                                     | Program |      |      |      |       |       |       | Projections |       |       |       |      |      |      |
| Outstanding Fund credit/Quota <u>1/</u>                             | 50.4    | 47.3 | 68.8 | 79.9 | 109.5 | 129.8 | 129.8 | 121.5       | 120.1 | 114.1 | 100.1 | 78.1 | 54.1 | 30.1 |
| Outstanding Fund credit/GDP <u>1/</u>                               | 2.2     | 2.7  | 5.3  | 5.3  | 6.7   | 7.5   | 7.0   | 6.1         | 5.6   | 5.0   | 4.1   | 3.0  | 1.9  | 1.0  |
| Outstanding Fund credit/Exports<br>of goods and services <u>1/</u>  | 14.0    | 14.0 | 22.0 | 19.3 | 23.4  | 27.0  | 24.7  | 20.5        | 18.4  | 16.3  | 13.4  | 9.8  | 6.3  | 3.3  |
| Debt service to the Fund/Exports<br>of goods and services <u>2/</u> | 0.1     | 1.2  | 1.8  | 2.7  | 2.9   | 4.7   | 4.3   | 1.7         | 0.5   | 1.1   | 2.1   | 2.9  | 3.0  | 2.8  |
| Debt service to the Fund/Total<br>debt service                      | 1.0     | 6.0  | 11.9 | 20.3 | 18.9  | 29.4  | 28.3  | 14.3        | 4.7   | 10.0  | 17.4  | 22.8 | 23.0 | 21.8 |
| Debt service to the Fund/<br>Gross official reserves                | 0.5     | 8.0  | 21.7 | 9.7  | 10.6  | 15.2  | 13.5  | 6.0         | 1.9   | 4.3   | 8.2   | 11.6 | 11.7 | 10.9 |
| Total debt service ratio <u>2/</u>                                  | 12.5    | 20.5 | 15.1 | 13.2 | 15.1  | 16.1  | 15.0  | 11.9        | 10.4  | 11.1  | 12.0  | 12.9 | 12.9 | 12.7 |

Sources: IMF, Treasurer's Department; and staff estimates and projections.

1/ Outstanding Fund credit includes SAF/ESAF loans and outstanding purchases, as well as the first and only purchase under the 1994 stand-by arrangement, equivalent to 25 percent of quota. It is further assumed that purchases under the proposed ESAF arrangement will be made in line with the disbursement schedule in Table 11.

2/ Debt service in percent of exports of goods and nonfactor services.

Table 13. Chad: Outstanding Medium- and Long-Term External Public Debt and Scheduled Debt Service, 1992-98

|                                                                  | 1992  | 1993  | 1994<br>Prog. | 1994<br>Est. | 1995  | 1996<br>Projections | 1997  | 1998  |
|------------------------------------------------------------------|-------|-------|---------------|--------------|-------|---------------------|-------|-------|
| (In billions of CFA francs)                                      |       |       |               |              |       |                     |       |       |
| Total medium- and long-term debt outstanding <u>1/</u> <u>2/</u> | 177.8 | 193.6 | 400.6         | 400.6        | 428.1 | 475.1               | 515.8 | 545.9 |
| Multilateral institutions                                        | 129.5 | 148.7 | 312.0         | 345.6        | 369.2 | 409.9               | 445.0 | 470.9 |
| Paris Club creditors                                             | 28.7  | 29.5  | 64.0          | 34.5         | 36.9  | 41.0                | 44.5  | 47.1  |
| Other bilateral creditors                                        | 16.7  | 12.5  | 21.4          | 20.4         | 21.8  | 24.3                | 26.3  | 27.9  |
| Other                                                            | 2.9   | 2.9   | 3.2           | --           | --    | --                  | --    | --    |
| Outstanding IMF credit                                           | 8.5   | 7.9   | 15.7          | 22.8         | 25.4  | 35.1                | 42.0  | 45.7  |
| Debt service due <u>3/</u>                                       | 6.9   | 10.8  | 14.4          | 14.4         | 14.6  | 19.3                | 18.7  | 19.4  |
| Interest <u>4/</u>                                               | 3.1   | 4.2   | 6.5           | 6.5          | 8.3   | 10.7                | 10.7  | 11.4  |
| Multilateral institutions                                        | 1.4   | 1.8   | 3.6           | 3.6          | 4.5   | 5.8                 | 5.8   | 6.2   |
| Paris Club creditors                                             | 1.3   | 1.2   | 1.3           | 1.3          | 2.3   | 3.0                 | 2.9   | 3.1   |
| Other bilateral creditors                                        | 0.2   | 0.3   | 1.6           | 1.6          | 1.5   | 2.0                 | 2.0   | 2.1   |
| Other                                                            | 0.2   | 1.0   | --            | --           | --    | --                  | --    | --    |
| IMF charges                                                      | 0.8   | 0.5   | 0.6           | 0.6          | 0.7   | 1.0                 | 1.0   | 0.8   |
| Principal                                                        | 3.8   | 6.6   | 7.8           | 7.8          | 6.3   | 8.6                 | 8.0   | 8.0   |
| Multilateral institutions                                        | 1.8   | 2.3   | 4.4           | 4.4          | 3.8   | 5.2                 | 4.8   | 4.8   |
| Paris Club creditors                                             | 1.4   | 1.4   | 2.7           | 2.7          | 1.7   | 2.3                 | 2.2   | 2.2   |
| Other bilateral creditors                                        | 0.3   | 0.3   | 0.7           | 0.7          | 0.8   | 1.1                 | 1.0   | 1.0   |
| Other                                                            | 0.3   | 2.5   | --            | --           | --    | --                  | --    | --    |
| IMF repurchases                                                  | --    | 0.5   | 1.5           | 1.2          | 2.8   | 3.3                 | 6.4   | 6.5   |
| (In percent of exports and goods and nonfactor services)         |       |       |               |              |       |                     |       |       |
| Debt service ratio, excluding IMF, before debt relief            | 11.1  | 11.5  | 13.5          | 13.4         | 10.5  | 12.3                | 11.4  | 10.8  |
| Interest                                                         | 4.3   | 4.5   | 5.8           | 5.7          | 5.8   | 6.5                 | 6.2   | 6.1   |
| Principal                                                        | 6.8   | 7.0   | 7.7           | 7.6          | 4.8   | 5.7                 | 5.1   | 4.7   |
| Debt service ratio vis-à-vis IMF                                 | 1.4   | 1.8   | 2.1           | 1.7          | 2.7   | 2.9                 | 4.7   | 4.3   |
| Debt service ratio, including IMF, before debt relief            | 12.5  | 13.3  | 15.5          | 15.1         | 13.2  | 15.1                | 16.1  | 15.0  |
| Interest                                                         | 5.6   | 5.4   | 6.4           | 6.3          | 6.3   | 7.2                 | 6.9   | 6.6   |
| Principal                                                        | 6.8   | 7.9   | 9.2           | 8.8          | 6.9   | 8.0                 | 9.3   | 8.4   |
| Memorandum item:                                                 |       |       |               |              |       |                     |       |       |
| Exports of goods and nonfactor services                          | 55.3  | 55.2  | 102.0         | 102.7        | 131.5 | 149.8               | 155.5 | 172.1 |

Sources: Data provided by the Chadian authorities; and staff estimates.

- 1/ Including debt guaranteed by the Government.
- 2/ End of period.
- 3/ Before debt relief.
- 4/ Including debt service on new rescheduling.

Chad - Three-Year and First Annual Arrangements  
Under the Enhanced Structural Adjustment Facility

Attached hereto is a letter dated August 8, 1995, with an annexed memorandum on the economic and financial policies of Chad, from the Minister of Finance and Computer Services, and the Minister of Planning and Cooperation of the Republic of Chad, requesting from the International Monetary Fund a three-year arrangement under the enhanced structural adjustment facility, and the first annual arrangement thereunder, and setting forth:

- (i) the objectives and policies of the program to be supported by the three-year arrangement; and
- (ii) the objectives and policies of the program to be supported by the first annual arrangement.

To support these objectives and policies, the Fund grants the requested arrangements in accordance with the following provisions, and subject to the Instrument to Establish the Enhanced Structural Adjustment Facility Trust:

1. (a) For a period of three years from September , 1995, Chad will have the right to obtain loans from the Fund under the enhanced structural adjustment facility, in a total amount equivalent to SDR 49.56 million, which shall be provided from the Enhanced Structural Adjustment Facility Trust.

(b) The amount of each of the three annual arrangements will be the equivalent of SDR 16.52 million.

(c) Under the first annual arrangement:

- (i) the first loan, in an amount equivalent to SDR 8.26 million will be available on September 15, 1995 at the request of the Government of Chad; and
- (ii) the second loan, in an amount equivalent to SDR 8.26 million will be available on March 15, 1996 at the request of the Government of Chad subject to paragraph 2 below.

2. Chad will not request disbursement of the second loan specified in paragraph 1(c)(ii) above:

(a) if the Managing Director finds that the data at the end of December 1995 indicate that

- (i) the limit on the net domestic assets of the Central Bank (BEAC), or
  - (ii) the limits on the net credit of banking system to the Government, or
  - (iii) the floor for the minimum collection of domestic tax revenue, or
  - (iv) the limit on the wage bill of the Central Government, or
  - (v) the target for the reduction in domestic payments arrears, or
  - (vi) the target for the reduction in external payments arrears, or
  - (vii) the limits on the contracting or guaranteeing by the Government of new nonconcessional external debt, or
  - (viii) the limit on the contracting or guaranteeing by the Government of short-term external debt, or
  - (ix) any of the two structural performance criteria set forth in paragraph 27 and Table 1 of the annexed memorandum was not observed; or
- (b) if Chad
- (i) has imposed or intensified restrictions on payments and transfers for current international transactions, or
  - (ii) has introduced or modified multiple currency practices, or
  - (iii) has concluded bilateral payments agreements which are inconsistent with Article VIII, or
  - (iv) has imposed or intensified import restrictions for balance of payments reason; or
  - (v) has incurred any new external payments arrears; or
- (c) until the Fund determines that the midterm review of Chad's program, referred to in paragraph 5 of the attached letter dated August 8, 1995 and in paragraph 28 of the annexed memorandum has been completed.

If the Managing Director finds that any of the performance clauses that have been established in or under this paragraph 2 have not been met, the second loan specified in paragraph 1(c)(ii) above may be made available only after consultation has taken place between the Fund and Chad, and understandings have been reached regarding the circumstances in which Chad may request the disbursement of that second loan.

3. Before approving the second annual arrangement, the Fund will appraise the progress of Chad in implementing the policies and reaching the objectives of the program supported by the first annual arrangement, taking into account primarily:

- (a) the indicators referred to in Table 1 attached to the annexed memorandum;
- (b) imposition or intensification of restrictions on payments and transfers for current international transactions;
- (c) introduction or modification of multiple currency practices;
- (d) conclusion of bilateral payments agreements which are inconsistent with Article VIII; and
- (e) imposition or intensification of import restrictions for balance of payments reasons.

4. In accordance with paragraph 4 of the attached letter dated August 8, 1995, Chad will provide the Fund with such information as the Fund requests in connection with the progress of Chad in implementing the policies and reaching the objectives supported by these arrangements.

5. In accordance with paragraph 4 of the attached letter dated August 8, 1995, during the period of the first annual arrangement, Chad will consult with the Managing Director on the adoption of any measures that may be appropriate at the initiative of the Government or whenever the Managing Director requests such a consultation. Moreover, after the period of the first annual arrangement, and while Chad has outstanding financial obligations to the Fund arising from loans under that arrangement, Chad will consult with the Fund from time to time, at the initiative of the Government or whenever the Managing Director requests consultation on Chad's economic and financial policies. These consultations may include correspondence and visits of officials of the Fund to Chad or representatives of Chad to the Fund.

N'Djaména, August 8, 1995

Mr. Michel Camdessus  
Managing Director  
International Monetary Fund  
700 19th Street, N.W.  
Washington, D.C. 20431

Dear Mr. Camdessus:

1. It is with satisfaction that we transmit to you the attached Memorandum on Economic and Financial Policies. The document sets out the range of macroeconomic and structural policy measures that Chad is committed to take during the period July 1, 1995 to June 30, 1996. The policy program constituted by these measures forms an integral part of a broader economic strategy, the orientations of which are described in the Policy Framework Paper for 1995-98, which will be sent to you under separate cover. The two documents bear witness to Chad's commitment to economic reform under trying circumstances. The Government will spare no effort to build a national consensus around this program and implement its measures in a timely manner. In support of their program, the Government of Chad requests a three-year arrangement under the enhanced structural adjustment facility (ESAF) from the International Monetary Fund, for a total amount equivalent to SDR 49.56 million (120 percent of quota), with access under the first annual arrangement thereunder in the amount equivalent to SDR 16.52 million (40 percent of quota).

2. Years of internal and external conflict have severely weakened much of Chad's economic, social, and administrative infrastructure. They have also undermined confidence at home and abroad and thwarted the emergence of a stable and peaceful climate for economic development. As part of their move toward pluralistic government, it is therefore the authorities' intention to set clear and unmistakable signals for their medium-term economic strategy, and to implement policies in a transparent and predictable fashion. Priority will be given to a strengthening of private sector initiative and activity, a rehabilitation of public administration, and a determined increase in investment in human capital. These objectives will be pursued in an environment of macroeconomic stability, the conditions for which will be created above all by decisive actions on the control of the public finances, and appropriate monetary and exchange rate policies in the context of regional arrangements.

3. The financing of the program for the first year is covered by anticipated assistance from bilateral and multilateral donors and creditors, as well as the rescheduling operations that have been requested by the Government of Chad from official bilateral creditors. The situation with regard to financing will be examined at the time of midterm review under the first annual arrangement.



4. The Government of Chad believes that the policies and measures described in the attached Memorandum on Economic and Financial Policies for 1995-96 are adequate to achieve the objectives of the program, but will take any additional measures that may become necessary for this purpose. The Government will consult with the Fund on the adoption of any measures that may be needed, in accordance with the Fund's policies on such consultations, and will provide the Fund with such information as the Fund may request in connection with the implementation of the policies of the program.

5. The Fund will conduct with the Government of Chad a review of progress in the implementation of the program supported by the first annual ESAF arrangement, to be completed no later than March 15, 1996.

Very truly yours,

/s/

Mahamat Ahmat Alhabo  
Minister of Finance and  
Computer Services

/s/

Mariam Mahamat Nour  
Minister of Planning and Cooperation  
President of the High  
Interministerial Committee

Attachment: Memorandum on Economic and Financial Policies for 1995-96

CHAD

Memorandum on Economic and Financial Policies

N'Djaména, August 8, 1995

I. Introduction

1. The political and economic fundamentals in Chad are undergoing profound changes. On the political side, a process toward pluralistic government was set in motion with the convening of a sovereign national conference in early 1993. During the extensive deliberations that followed, agreement was reached on the outline of a new constitution, the formation of a transition Government and High Transition Council, and the establishment of an electoral calendar for the first democratic presidential and parliamentary elections in early 1996. On the economic side, the devaluation of the CFA franc in January 1994 has provided a strong stimulus to economic activity, and the related resumption of a close cooperation with the Fund and the Bank has encouraged the formulation of a coherent economic policy program that was supported by a stand-by arrangement (SBA) from the Fund, and an Economic Recovery Credit (ERC) from the World Bank. The objectives and aims of economic policy are no less ambitious than those for the political system. They rest on the assumption that the strengthening of individual decision making and private initiative will foster both political stability and improved economic performance.

2. The authorities are pursuing the political and economic reforms in a difficult environment. Years of civil wars and strife, and a successive number of adverse external developments, including a persistent deterioration in the terms of trade, resulted in a serious deterioration in the economic, social, and administrative infrastructure. They have also undermined the emergence of a degree of stability that is essential for investment and economic activity. This poses a challenge that the authorities have to face in a situation of tight finances but also in a more promising economic environment due to the devaluation of the CFA franc. However, there is no shortage of will, toughness, energy, and resilience in the country. To fully harness these inherent qualities of the Chadian people, it is the authorities' firm intention to pursue appropriate policies for economic stabilization, and to broaden and deepen structural reform. In support of this decision, the authorities are requesting from the Fund a three-year arrangement covering the period July 1, 1995 to June 30, 1998 under the enhanced structural adjustment facility (ESAF) for the equivalent of SDR 49.56 million (120 percent of quota). The authorities hope that their economic and structural adjustment program for this period will be supported by sufficient financial assistance from partner countries, the World Bank, and other multilateral institutions.

## II. Recent Program Implementation and Results

3. The devaluation of the CFA franc in January 1994 offered Chad a unique opportunity to break out of the vicious circle of disintegrating public administration and declining private sector activity that had gripped the country in recent years. It also gave the authorities a chance to build confidence in their economic policies in the context of a coherent economic program. Performance under the program, which, from March 1994, was supported by a stand-by arrangement from the Fund, was initially mixed. On the one hand, the devaluation resulted in the needed correction of relative prices and incentives to economic agents, and spurred a stronger output and export response than was projected. On the other hand, the implementation of the economic program for 1994 suffered initially from a lack of broad consensus for, and ownership of, the program, severe weaknesses in the definition and allocation of administrative responsibilities, and a growing demotivation of public administration stemming from a large accumulation of salary arrears. The related slippages in performance were aggravated by adverse external factors, with the result that the program veered off track soon after it was launched.

4. The failure to meet the performance criteria for June 1994 resulted in a critical and constructive examination of its causes and a wide range of remedial actions, which demonstrated the authorities' resolve to take charge of the many exigencies of program implementation. First, to remedy the problems of program ownership and policy responsibilities, they created a system of committees for the "preparation, negotiation, and monitoring of structural adjustment programs." Second, to demonstrate their commitment to economic reform, they implemented from October 1994 a staff-monitored program, which involved a considerable strengthening of structural policies relative to the program supported by the SBA and attempted to make up in part for the ground loss in the first half of 1994. Third, to address the weaknesses observed in program implementation and in the administration, they introduced a number of changes in the organization and staffing of key ministries, including notably the Ministry of Finance and its revenue departments. Finally, to strengthen the operations of the critical customs department, where problems had been particularly acute, they sought technical assistance in customs policies, procedures, and operations.

5. The results of the decisive strengthening of policies and program implementation since July 1994 have been clear and encouraging. The weaknesses of revenue collection have been largely resolved, with the result that average monthly tax revenue rose from CFAF 1.6 billion during the first half of 1994 to CFAF 4.4 billion during the last quarter of 1994. In the event, almost all quantitative benchmarks of the staff-monitored program were met at end-December 1994, with the exception of those applicable to external debt service obligations and the resumption of regular payments of salaries to the civil service, which continued to suffer from the initial weaknesses in domestic revenue mobilization and a large shortfall in external financial assistance. Moreover, the authorities made great efforts to implement the structural policy measures that constituted notional benchmarks under the monitored program, with the result that virtually all such

benchmarks were observed at end-December. The exception was that of the benchmark on the collection of tax arrears from the 20 largest firms, where disputes over amounts and legal procedures, as well as complexities in settling cross-debts, slowed implementation. A similarly positive result has been observed with respect to the March 1995 benchmarks. In particular, revenue collection continued to improve so that the benchmark for tax revenue was surpassed by more than CFAF 1 billion. This allowed the resumption of more regular wage payments in 1995 without, however, allowing for a net reduction in the stock of salary arrears. At the same time, there was a moderate further accumulation of external payments arrears, including some CFAF 1.4 billion that were eligible for Paris Club rescheduling. All monetary and external loan benchmarks for March 1995 were observed.

6. While the recent improvements in economic performance and program implementation are appreciable, they are no more than a start. The authorities realize that there remain important obstacles to a lasting improvement in economic performance and that persistent efforts are needed to raise the standard of living in the country to a satisfactory level. To move in this direction, and with a view to stabilizing expectations and strengthening accountability, they are determined to set clear and unmistakable signals for their medium-term economic strategy. Moreover, to strengthen commitment and credibility from the outset, they are proposing a demanding agenda of economic policy measures for the first year of their medium-term adjustment program.

### III. Medium-Term Strategy

7. The authorities' medium-term strategy will pursue macroeconomic stability and structural reform in parallel, strengthen and broaden public infrastructure in support of private sector development, and improve the functioning of public administration. They will also give particular attention to issues of absorptive capacity, debt sustainability, and concessionality of financing. In particular, they will continue to pursue prudent fiscal policies aimed at the achievement of fiscal and external viability before the end of the decade irrespective of the prospect of large revenues from the exploitation of oil reserves in the not-too-distant future. At the same time, they will make appropriate preparations for a smooth and effective integration of the oil sector into the economy. Regarding developments in other areas, the authorities intend to give priority to agriculture and livestock, the two sectors in which Chad has a comparative advantage, before considering diversification policies in favor of other sectors.

8. Stabilization policies and medium-term structural reforms for the program period aim at achieving a satisfactory growth rate, low inflation, and a viable external balance (a more detailed and numerical description of the program objectives is contained in the accompanying policy framework paper). Progress in this direction will build on fiscal policies that

increase public sector saving, and a set of measures that strengthen Chad's external competitiveness, raise confidence and increase private saving and investment.

9. The focus of structural reform is the revitalization of the private sector and the more general strengthening of the response mechanisms of the economy. The authorities will, therefore, accelerate their public enterprise divestiture program. They will also continue their policies of price and trade liberalization and sharpen competition through the removal of the few remaining monopolies, as well as by easing access to markets and facilitating the creation of enterprises. During the program period, the authorities will also seek to simplify legislation and regulation affecting private sector operations and stabilize firms' legal environment so as to ease recourse to judicial redress when necessary. In this context, they will adapt the labor code to strengthen the contractual rights of social partners, adjust the investment code to current proposals for the region, and introduce a comprehensive commercial code.

10. Reforms in support of private sector development will be complemented by energetic action on the functioning and efficiency of public administration, and a rationalization of budgeting choices. A principal element in this context will be the initiation and execution of a civil service reform, which will seek to adjust employee composition and skills in public administration to the new priorities and objectives under a pluralistic government. It will also seek to increase efficiency through training, a clearer definition of career streams, and a strengthening of incentives, including through a remuneration system that adequately rewards performance. Special attention will be given to the effective design and execution of economic and structural policy. To this end, the authorities will continue to make extensive use of the current system of committees and improve and broaden its functions where necessary, in particular in the area of collection and dissemination of vital statistics. Finally, with assistance of the donor community, the authorities intend to review and identify measures needed to upgrade budget preparation, execution, and control. The objectives of the study will include the identification of measures to increase the transparency of budget operations, achieve the complete elimination of off-budget operations, and strengthen the financial management of the national retirement and social security funds (CNRT and CNPS, respectively).

11. The central element of financial policies during the program period will be a durable strengthening of the budgetary position. To this end, the authorities intend to shift the current primary balance of the Central Government from a deficit of 6 percent of GDP during the period 1993-94 to a surplus of about 1 percent in 1998. Action to that effect will concentrate on a substantial improvement in revenue performance by way of a further strengthening of tax administration and collection, a broadening of the tax base, and a simplification of tax legislation, regulation, and procedures. On the expenditure side, a strict prioritization will be necessary throughout the program period. Needed increases in spending on health, education, and financial services will therefore have to be compensated in

good measure by economies in nonpriority areas. Moreover, the government wage bill will have to remain under tight control, and the scope for a curtailment of transfers and subsidies to be exploited in full.

12. Monetary policy will continue to be formulated and conducted by the BEAC at the regional level, and will assure compatibility of financial developments with the external and inflation objectives of the program. It will also seek to assist the intended retrenchment of the public sector and expansion of the private sector. To strengthen financial intermediation and the efficiency of financial sector operations, the authorities will work at the level of the BEAC so that monetary management increasingly rely on market-based instruments of control, including market-determined interest rates. Moreover, to strengthen confidence in the financial sector, the authorities will lend their full support to the regional banking commission (COBAC) in effectively enforcing prudential regulations. Consideration will also be given to ways and means of broadening financial intermediation and expanding financial sector activities to the rural areas.

#### IV. The Program for the Period July 1995-June 1996

13. The first program year under the requested ESAF will cover the period July 1995-June 1996, and is set up as a seamless continuation of the staff-monitored program for the period October 1994-June 1995. The macroeconomic objectives for the two calendar years spanned by the first program are predicated on policies that would allow (i) real GDP to grow by around 5 1/2 percent in 1995, and 5 1/4 percent in 1996, reflecting in particular the strong recovery of the cotton sector; (ii) inflation (as measured by the consumer price index), which flared up strongly in 1994, to decline to an average rate of 6 1/2 percent in 1995, followed by a further reduction to 4 1/2 percent in 1996; and (iii) the external current account deficit (before official transfers) to decline moderately from 22.7 percent of GDP in 1994 to about 21 percent in 1995/96, as the growth of exports is largely offset by increases in public investment and a further strengthening of private sector import demand as a result of increases in incomes and the replenishment of stocks.

##### 1. Fiscal policy

14. The authorities recognize that, given Chad's exchange arrangements, the rehabilitation of the public finances is central to the restoration of macroeconomic balance and the consolidation of confidence. It is therefore their intent to reduce the current primary deficit of the public finances from around 6.0 percent of GDP in 1994 to 2.2 percent in 1995, and further to 1.3 percent in 1996. Given the pressing spending needs in a number of areas, a significant improvement in revenue performance is critical for the restoration of sound public finances and a normalization of the functioning of public administration. It is therefore the authorities' objective to increase the share of domestic revenue in GDP from its exceptionally low level of 7.4 percent in 1994 to 9 percent in 1995, and close to 10 percent in 1996. Prospects for achieving the revenue objectives have improved

considerably over the past couple of months as a result of the introduction of a number of important policy measures. First, as noted in paragraph 4 above, significant efforts have been made to improve the functioning of revenue departments, including through the replacement of nonperforming officials. Second, decisive action has been taken to eliminate fraud, unwarranted tax and customs duty exemptions, and outside interference at customs. Finally, a comprehensive mechanism to assess and collect back taxes has been started and has begun to show results.

15. The authorities intend to expand their efforts in these areas and strengthen them as needed. In particular, they will take all requisite measures to achieve an efficient implementation of the reform measures called for by the UDEAC tax and customs tariff reform. Effective June 1, 1995, they have replaced a set of five separate indirect taxes by a single turnover tax with only two rates, with the results that the tax base has been considerably broadened and that assessment and procedures have been greatly simplified. Moreover, with effect from the same date, excise taxes have been introduced on a certain number of goods, including alcohol, tobacco, and other luxury goods. To further strengthen revenue performance in 1996, the authorities will renegotiate, before the end of 1995, the remaining special conventions (conventions d'établissement), so as to eliminate full or partial tax and customs duty exemptions to three enterprises (COTONTCHAD, MCT, SONASUT). By the same date, they will also implement a reform of other special tax and customs regimes (including those allowed by the Investment Code) in line with UDEAC agreements. Moreover, to further improve tax administration and collection, broaden the tax base, and strengthen coordination between revenue departments, they will make effective, at the latest by end-1995, a single, computerized taxpayer code and file. A decree to this effect has been issued in July 1995. Furthermore, the authorities will begin preparations for a significant simplification of direct taxes and increase the practice of withholding at source with a view to increasing revenue from direct taxes. A study on the simplification of direct taxes will be undertaken with the assistance of the Fund before the end of June 1996. Finally, the authorities will take steps for the timely introduction of a value added tax and of taxation of the informal sector in the form of a business license system (patente).

16. Particular attention will continue to be given to the operations and functioning of the customs department. A significant improvement in the operations of the department has already been achieved as a result of staffing changes, the elimination of rampant interference by paramilitary forces, organizational reforms, and technical assistance on both general customs issues and the collection of import duties on petroleum products. The authorities recognize that more is needed. Consequently, a detailed action plan has been worked out in collaboration with the Fund's Fiscal Affairs Department (FAD) and a resident FAD expert. This plan will continue to be implemented in accordance with a priority list of actions. The authorities hope that the timely and successful implementation of the plan will benefit from donor assistance in the planned upgrading of equipment in customs offices and the relocation of the principal customs office to the main crossing point from Cameroon to Chad. Among the other priority

measures, the creation of information units will permit automated monitoring of and control over customs operations held in suspense, and the updating at regular intervals of the system of reference values, which will allow for the assessment of customs duties on a more appropriate basis. In this context, any remaining use of standard values for imports will as soon as possible be replaced by the application of assessed CIF values. Furthermore, to curtail abuse in the granting of exemptions for diplomatic imports, reference quotas for these imports will be established in collaboration with embassies. A similar monitoring and control mechanism will be considered for the exemption enjoyed by nongovernmental organizations (NGOs), project-related imports, and public procurements. Finally, to further reduce tax evasion and fraud, and advance the settlement of payments due, the authorities will strengthen the effectiveness of customs controls and impose tight restrictions on procedures in suspense for customs duty payments.

17. On the expenditure side, the authorities will be guided by the need, on the one hand, to restore credibility through a full respect of the budget, and to reorder budget priorities on the other. Among these priorities, the expansion of the health and education sectors constitutes the principal element of social policy. For a better rationalization of public expenditure decisions, and to achieve a structural improvement in expenditure management, the authorities will conduct a comprehensive public expenditure review by end-September 1995, in collaboration with the World Bank. The authorities also intend to improve the monitoring and currentness of their payments obligations. In this context, they will establish a complete inventory of payments arrears to civil servants and domestic suppliers. To increase efficiency in public administration and reduce its costs, the authorities will also strive for civil service reform and will undertake, before the end of the first program year, a comprehensive study of how best to proceed. The study will examine in particular the modalities of a replacement of the system of automatic step increases by a promotion system based on merit.

18. Regarding wages and salaries, the authorities face the dual task of keeping the wage bill under control in an environment of limited resources, and of achieving regularity of wage payments at an adequate level so as to maintain appropriate incentives to work and foster social peace. As a structural measure, a comprehensive civil service census will be conducted by end-November 1995 to improve the control and management of the wage bill. Moreover, effective January 1, 1996, a single, harmonized and computerized payroll file will be established. For 1995, the objective is to hold the wage bill to a maximum of CFAF 27.4 billion on a cash basis (including payments already made on salary arrears carried over from previous budget years), implying a growth in nominal terms roughly equal to the rate of inflation. Adherence to this objective will require a substantial effort, in particular because of two factors that have increased the trend rate of growth of the wage bill. First, in line with agreements reached under the social pact, nominal wages and salaries have been increased by 10 percent under the 1995 budget. Second, employment in the priority areas of health, education, and financial services has been increased by some 500 people. To compensate for these measures, retirement rules will be strictly enforced



and ghost employment will be eliminated. Together, these measures should permit to fully offset the increase in employment in the priority sectors. Moreover, selected discretionary measures such as reductions in family allowances, in diplomatic personnel, and in travel allowances will be taken. Maintaining at the same time regularity and equity of payments of wages and salaries will require that inequalities in current payments between ministries and government agencies be eliminated in 1995. For 1996, the objective is to keep the wage bill constant in real terms, implying a growth in nominal terms of no more than 4.5 percent. To meet this objective, while continuing the employment program for priority sectors, increases in wage and salary rates will again have to be very modest and further reductions in staff in nonpriority areas will be necessary. At the same time, however, there is likely to be some room for the repayment of salary arrears, which will be used in the first instance for repayments to those employees who have the "oldest" arrears.

19. Among other expenditure, military outlays stand out. To reduce spending in this area on a lasting basis, the authorities will initially aim for a further reduction in military personnel by 4,000 men by the end of 1995, with the help of financing already secured for that purpose. If needed, new legislative measures will be introduced to reach this objective. To reach the target of a 25,000-strong army by end-June 1996, down from some 32,000 men at present, the authorities will seek additional external support and financing for demobilization expenses. Regarding government transfers and subsidies, an inventory and action plan will be established by end-1995, and implemented from 1996 onwards to reduce progressively their weight in the budget. The need for subsidization has already been reduced by increases in administered prices in the state-owned sugar and utility companies. A further 10 percent increase in electricity tariffs has become effective on July 1, 1995. Additional increases in utility prices and prices of other public enterprises will be decided as needed in the context of performance contracts. Against the economies to be realized in these areas, spending will have to be increased selectively elsewhere. In particular, reflecting the priority accorded to health and education, outlays on goods and services in these sectors will be increased by the equivalent of 20 percent in real terms in both 1995 and 1996. Before end-December 1995, the authorities will also allocate out of budgetary resources for 1995 the equivalent of CFAF 1.2 billion to the purchase of essential generic drugs, as part of social safety net measures. Moreover, to create employment--especially in the main urban areas, where the problem of unemployment is most acute--spending will be raised on three labor-intensive public infrastructure programs (ATETIP, PADS, TSP II) in line with available external financing.

## 2. Monetary and financial sector policy

20. Within the framework of the regional monetary arrangements, the authorities intend to implement a prudent credit and interest rate policy, consistent with the balance of payments objectives of the program and the need to forestall adverse inflation expectations. For the pursuit of these policies, they will advocate in the relevant regional bodies an increasing

reliance on indirect instruments of monetary policy. In particular, they will advocate that the current auction system of central bank credit be complemented by the effective introduction of reverse auctions that would permit the control of bank credit by way of sales of BEAC or BEAC-backed securities. Moreover, they will seek to have (1) the current auction system, under which both price and quantity are controlled, amended so as to let interest rates clear the market; and (2) the rediscountability of the so-called "productive investment" credits under the B-window (Guichet B) brought under the refinancing limits, and ultimately rescinded. Furthermore, the liberalization of interest rates will be encouraged by the elimination of the minimum deposit rate (with the exception of the rate on small passbook savings), and by the substitution of a usury rate for the maximum lending rate, which might also be done away with altogether. At the same time, in concert with the regional bank supervisory body (COBAC), the authorities will insist on rigorous adherence to the prudential ratios established for the BEAC region. In this context, they will conclude the liquidation of the BICIT bank before end-September 1995. Regarding the financing of economic development, the authorities remain concerned about the low level of credit extended by banks to the private sector despite the recent elimination of the credit tax. They also believe that the availability of medium- and long-term credit will need to be increased to foster a dynamic development of private sector activity. With interested donors, they will therefore commission a study on these specific issues, as well as on the more general question of broadening and deepening financial intermediation in Chad.

### 3. Price policies

21. The authorities are committed to price liberalization and will continue their reforms with the removal of the few remaining price controls. Effective July 1, 1995, price controls on sugar and the setting of profit margins for wholesalers and retailers have been eliminated. Similarly, the ordinance on price controls on edible oils and soap, both of which are by-products of cotton ginning, were lifted at end-June 1995, and the relevant clause on the setting of prices in the convention with COTONTCHAD will be removed before end-1995. In the pharmaceutical sector, fixed profit margins for pharmaceutical products will be abandoned to stimulate competition. However, for social reasons, the prices of the 60 most important generic drugs will remain under government control for the time being. *Prices of petroleum products will continue to move in line with world market prices.* In the cotton sector, the guaranteed producer price for first grade cotton has been set at CFAF 140 per kilo for the 1995/96 season. At the end of the season, the guaranteed price will be supplemented by a premium to farmers that will be determined once the financial results of the COTONTCHAD are known. Before end-1995, the Government will also seek to reach agreement with the other shareholders of COTONTCHAD about the repayment of the Government's debt toward COTONTCHAD (which reflects cumulative losses of COTONTCHAD as a result of the setting of too high producer prices), and the treatment of service payments on loans by the French CFD that were onlent to COTONTCHAD by the Government, but were canceled by the CFD in 1994.

4. Public enterprises and private sector development

22. Divestiture of public enterprises will be accelerated during the first program year. Before end-1995, auctions will be launched for a number of public or semi-public enterprises (listed in the policy framework paper) in line with agreements reached with the World Bank. Moreover, procedures will be sped up for the liquidation of the Petroleum Fund (Fonds Pétrolier) and the Sugar Fund (Caisse Sucre) before end-1995. In addition, studies on a disengagement strategy will be initiated for the National Post and Telecommunications Office (ONPT), and the International Telecommunications Company (TIT). In the banking sector, the authorities will seek to complete the privatization of the Development Bank (BDT) and to find a solution for the BMBT (whose principal shareholder, the Meridien BIAO SA (Luxembourg), holding 74 percent of the share capital, is under liquidation procedures). Regarding the public utility (STEE), the authorities will continue to seek cost savings and increases in productivity; corrective measures will concentrate on raising efficiency in billing procedures and bill collection. In addition, the authorities will henceforth include in the national budget the full amount of the anticipated costs of government electricity and water consumption. They will also definitely settle the cross-debts between the Government and the STEE, including by way of compensation operations. In the cotton sector, an action plan for improved performance will be established and implemented on the basis of a technical audit of COTONTCHAD. In the sugar sector, more flexible sugar import procedures will be adopted in order to improve market supply and strengthen competition in the sugar market; this policy would also constitute an element of fraud control. Moreover, the tax and customs treatment of the SONASUT will be brought in line with the general UDEAC regime and the temporary surtax on sugar removed. Finally, a study on the different options for a possible divestiture of the Government from the SONASUT will be carried out before end-June 1996.

23. As part of the regulatory reform to foster private sector development, the authorities will expedite the elaboration of a set of business regulations that will place the operations of enterprises on a surer footing. The investment code will also be revised in line with regional integration objectives. Finally, to reduce rigidities in the labor market and encourage employment creation, the authorities will undertake a comprehensive revision of the Labor Code. In particular, Articles 116 and 142 of the Code regarding wage setting and minimum wages will be amended before the end of 1995, so as to give social partners (employers and employees, and their representatives) the right to negotiate freely amongst themselves wage rates, including minimum wages. At the same time, the authorities will seek to foster harmonious social relations; and encourage the social partners to strengthen their consultation mechanisms at the sectoral and/or enterprise level.

5. External sector policies

24. Although Chad still avails itself of the transitional arrangements of Article XIV of the Fund's Articles of Agreement, its exchange regulations are already fully compatible with the obligations under Article VIII status. During the program period, the authorities do not intend to introduce or intensify any exchange restrictions, introduce or modify any multiple currency practices, conclude any bilateral payments agreements that are inconsistent with Article VIII of the IMF's Articles of Agreement, or introduce or intensify import restrictions for balance of payments reasons. Moreover, in concert with the other member countries of the BEAC, Chad plans to accept the obligations of Article VIII, Sections 2, 3, and 4 in due course. Limits on travel allowances will be administered in a non-restrictive manner, and all bona fide requests in excess of these limits will be granted without undue delay. Before end-1995, they will update Chad's exchange regulations and bring them in line with the text endorsed by the BEAC Ministerial Committee in September 1993. Moreover, before end-1995, the authorities will remove the system of import and export licensing by repealing the decree determining the modalities for imports, allotment, circulation, and distribution of goods (Decree No. 282/PR/MCI/89 of 1989), as well as the decree regulating imports and exports (Decree No. 113/ET of 1966). They will establish a negative list of products import of which will be subject to special authorization for reasons of public health, public security, and environmental protection. The authorities will also ensure that needed documentation on imports and exports will be communicated to the revenue departments and the external financing departments of the Ministry of Finance, as well as the Central Bank (BEAC), in order to permit an appropriate monitoring of current international transactions, notably with respect to purchases of foreign currency and for the establishment of reliable balance of payments data. Since January 1, 1995, all export taxes have been eliminated. In addition, effective January 1, 1996, the authorities will reduce the intra-UDEAC import duty rate from the current 20 percent of the common external tariff to 10 percent. To assure a timely servicing of Chad's external debt, the authorities have requested technical assistance from the World Bank in the computerization and management of public sector debt and debt service obligations. Before end-1995, they will present an action plan on the strengthening of debt and debt service management. They expect to eliminate all arrears on external debt service before the end of 1995, but, in the case of delays in external financing, latest before the end of the first program year--in part through a further Paris Club rescheduling--and to remain current on their payments obligations thereafter.

25. The ESAF arrangement is expected to play a catalytic role in the mobilization of bilateral and multilateral financial assistance to Chad. Chad's external financing requirements during the period of the first annual ESAF arrangement are expected to be covered on the basis of disbursements under aid commitments already made (CFAF 28.8 billion in 1995 and CFAF 16.1 billion in 1996), as well as by a new terms of reference Paris Club rescheduling of eligible debt service (CFAF 0.5 billion in 1995 and CFAF 1.1 billion in 1996), and a deferral of debt service on the postal debt

(CFAF 3.6 billion in 1995). Under these assumptions, the residual financing gaps of CFAF 32.9 billion in 1995 and CFAF 17.2 billion in 1996 will be closed. A modest financing gap is envisaged for the period 1997-98, for which donors have not yet drawn up definitive aid plans. A successful implementation of the program should also permit additional debt relief.

#### VI. Program Monitoring

26. Given the importance attributed in the program to revenue performance, the following actions have already been taken: (a) effective implementation of the new turnover tax, excise taxes, and customs duty rates consistent with the UDEAC reform; (b) publication of a decree providing for a single taxpayer code and file; and (c) assignment of exclusive responsibility of the customs administration for assessment and collection of taxes on international trade. In addition to these revenue measures, the following measures have been taken: (a) abolition of the decrees fixing the prices of edible oils and soap; (b) increases in electricity tariffs by 10 percent; and (c) elimination of controls on sugar prices, and of the prescription of profit margins for wholesalers and retailers.

27. Performance under the first-year ESAF arrangement will be monitored on the basis of the following financial performance criteria (end-December 1995): (a) net domestic assets of the Central Bank (BEAC); (b) net credit of the banking system to the Government; (c) the minimum collection of domestic tax revenue; (d) the wage bill of the central government; (e) minimum reductions in domestic payments arrears; 1/ (f) the elimination of external payments arrears, and an injunction against the accumulation of new external arrears; and (g) a prohibition on the contracting and guaranteeing of loans on nonconcessional terms, with maturities in the range of 1-15 years. These performance criteria will be supplemented by an indicator on changes in the net domestic assets of the banking system. Structural performance criteria include (a) the elimination, before end-1995, of import and export licenses; and (b) the amendment, before end-1995, of Articles 116 and 142 of the Labor Code to give employers and employees the right to freely determine wage rates, including minimum wages. Structural benchmarks include (a) the reduction in the preferential intra-UDEAC tariff (TPG) from 20 percent of common UDEAC external tariff (TEC) to 10 percent, effective January 1, 1996; (b) the renegotiation, before end-1995, of special tax and customs treatment (enterprise conventions) for private companies and public enterprises

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1/ This variable would serve as the principal domestic expenditure adjuster in cases of shortfalls in external assistance up to the programmed amount of domestic arrears reduction in 1996 (CFAF 4 billion); for additional shortfalls, consultation with the Fund staff would take place. In cases of domestic tax revenue and foreign financing higher than the programmed amounts, the settlement of arrears to domestic suppliers would be increased by one half of the excess, while the other half would be used to reduce net credit to the Government.

(COTONTCHAD, MCT, and SONASUT), and of the Investment Code, to bring them in line with the common UDEAC regime; (c) the promulgation, before end-1995, of exchange regulations in line with the text adopted for the BEAC zone in September 1993; (d) the establishment, before end-1995, of an action program to improve performance of COTONTCHAD; (e) presentation of a study on alternative options for the privatization of SONASUT, by end-June 1996; (f) presentation of a study, with the assistance of the Fund, on the simplification of direct taxes, by end-June 1996; and (g) presentation of a study, with the assistance of the Fund, on possible modalities and timing of the introduction of a value-added tax, by end-June, 1996.

28. Quantitative benchmarks will apply to end-September 1995 and quantitative and structural performance criteria to end-December 1995. The second disbursement under the first annual arrangement will be conditional upon observance of the quantitative and structural performance criteria at end-December 1995 and completion of the midterm review, which will take place no later than March 15, 1996. All data necessary for monitoring performance under the program will be collected and made available on a timely basis. The review will reassess the indicative benchmarks set for end-March and end-June 1996 and pay particular attention to the progress being made in revenue collection, currentness of external debt service payments, and on the reduction in payments arrears to suppliers.

Table 1. Chad: Quantitative and Structural Performance Criteria and Benchmarks  
for the First Annual Arrangement Under the  
Enhanced Structural Adjustment Facility, July 1, 1995-June 30, 1996

(In billions of CFA francs)

|                                                                                                                                                                                                                                                                | 1995         | Cumulative changes |             |                  |            |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|--------------------|-------------|------------------|------------|
|                                                                                                                                                                                                                                                                | End-June     | 1995               | 1995        | 1996             |            |
|                                                                                                                                                                                                                                                                | (Est. level) | Sept. 30           | Dec. 31     | March 31         | June 30    |
|                                                                                                                                                                                                                                                                |              | Benchmarks         | Perf. crit. | Benchmarks       | Benchmarks |
| A. Quantitative performance criteria and benchmarks 1/                                                                                                                                                                                                         |              |                    |             |                  |            |
| Net domestic assets of the Central Bank (BEAC) 2/                                                                                                                                                                                                              | 38.3         | 6.4                | 4.7         | 19.2             | 10.7       |
| Net credit of the banking system to the Government 2/                                                                                                                                                                                                          | 45.0         | 6.2                | 4.6         | 4.6              | 9.3        |
| Domestic payments arrears 3/                                                                                                                                                                                                                                   | 26.0         | --                 | -3.7        | -5.0             | -6.7       |
| External payments arrears 3/                                                                                                                                                                                                                                   | 28.7         | -15.2              | -28.7       | -28.7            | -28.7      |
| Of which: in cash                                                                                                                                                                                                                                              | (9.7)        | (--)               | (-9.7)      | (-9.7)           | (-9.7)     |
| External loans contracted or guaranteed by the Government on nonconcessional terms:                                                                                                                                                                            |              |                    |             |                  |            |
| - less than 1 year's maturity 4/                                                                                                                                                                                                                               | --           | --                 | --          | --               | --         |
| - 1 to 15 years' maturity                                                                                                                                                                                                                                      | --           | --                 | --          | --               | --         |
| Government wage bill 5/                                                                                                                                                                                                                                        | 13.7         | 6.9                | 13.7        | 20.8             | 28.0       |
| Tax revenue                                                                                                                                                                                                                                                    | 17.5         | 7.0                | 18.0        | 28.0             | 39.0       |
| Monitored variable                                                                                                                                                                                                                                             |              |                    |             |                  |            |
| Net domestic assets of the banking system                                                                                                                                                                                                                      | 53.9         | -0.3               | 3.4         | 19.9             | 10.4       |
| Memorandum item                                                                                                                                                                                                                                                |              |                    |             |                  |            |
| Anticipated external program financing 6/                                                                                                                                                                                                                      | 0.8          | 16.4               | 42.2        | 50.1             | 56.3       |
| B. Structural performance criteria                                                                                                                                                                                                                             |              |                    |             |                  |            |
| 1. Elimination of import and export licenses through the repeal of Decree No. 282/PR/MCI/89 of 1989 and Decree No. 113/ET of 1966.                                                                                                                             |              |                    |             | Before end-1995  |            |
| 2. Amendment of Articles 116 and 142 of the Labor Code to abolish minimum wage requirements set by the Government and, thereby, enable employers and employees to freely determine the salary grids, including minimum wages, at a national or sectoral level. |              |                    |             | Before end-1995  |            |
| C. Structural benchmarks                                                                                                                                                                                                                                       |              |                    |             |                  |            |
| 1. Reduction in the preferential intra-UDEAC tariff (TPG) from 20 percent of the common UDEAC external tariff (TEC) to 10 percent.                                                                                                                             |              |                    |             | January 1, 1996  |            |
| 2. Harmonization of special tax and customs regimes under enterprise conventions (COTONTCHAD, MCT, and SONASUT) and the Investment Code in line with common UDEAC regime.                                                                                      |              |                    |             | Before end-1995  |            |
| 3. Updating of exchange regulations in line with text adopted for the BEAC zone in September 1993.                                                                                                                                                             |              |                    |             | Before end-1995  |            |
| 4. Establishment of an action program to improve performance of COTONTCHAD.                                                                                                                                                                                    |              |                    |             | Before end-1995  |            |
| 5. Presentation of a study on different options for the divestiture of Government from the SONASUT.                                                                                                                                                            |              |                    |             | By end-June 1996 |            |
| 6. Presentation of a study, with the assistance of the Fund, on the simplification of direct taxes.                                                                                                                                                            |              |                    |             | By end-June 1996 |            |
| 7. Presentation of a study, with the assistance of the Fund, on possible modalities and timing of the introduction of a value-added tax.                                                                                                                       |              |                    |             | By end-June 1996 |            |

1/ Principal adjusters in cases of shortfalls of external assistance are as follows: (a) shortfalls before end-1995 would lead to a postponement in the elimination of external payments arrears latest to the end of the first program year (end-June 1996); (b) shortfalls persisting during the program year 1995/96 would lead to a reduction in the settlement of domestic arrears up to the total amount foreseen for the period through June 1996 (CFAF 6.7 billion); for larger shortfalls, a consultation with the Fund staff would ensue. In the case of a level of domestic tax revenue and external financing higher than programmed, one half of the excess would be used in equal parts to increase the settlement of payments arrears and to reduce net credit of the banking system to the Government and net domestic assets of the Central Bank.

2/ May be adjusted in line with the contingency provision in Footnote 1 above.

3/ No new accumulation of arrears is allowed, with the exception of external debt service payments for which a rescheduling is foreseen. The reduction in domestic and external payments arrears may be affected by the availability of external financing (see Footnote 1 above).

4/ Excluding normal import-related credits, on disbursement basis.

5/ Cash payments in 1995/96.

6/ Including non-project grants and loans, excluding the Fund.

Chad - Relations with the Fund  
(As of June 30, 1995)

I. Membership Status: Joined July 10, 1963; Article XIV

|                                       |                    |                         |
|---------------------------------------|--------------------|-------------------------|
| II. <u>General Resources Account:</u> | <u>SDR million</u> | <u>Percent of quota</u> |
| Quota                                 | 41.30              | 100.0                   |
| Fund holdings of currency             | 51.35              | 124.3                   |
| Reserve position in the Fund          | 0.28               | 0.7                     |

|                             |                    |                              |
|-----------------------------|--------------------|------------------------------|
| III. <u>SDR Department:</u> | <u>SDR million</u> | <u>Percent of allocation</u> |
| Net cumulative allocation   | 9.41               | 100.0                        |
| Holdings                    | 0.01               | 0.1                          |

|                                             |                    |                         |
|---------------------------------------------|--------------------|-------------------------|
| IV. <u>Outstanding Purchases and Loans:</u> | <u>SDR million</u> | <u>Percent of quota</u> |
| Stand-by arrangements                       | 10.33              | 25.0                    |
| SAF arrangements                            | 17.44              | 42.2                    |

V. Financial Arrangements:

| <u>Type</u> | <u>Approval Date</u> | <u>Expira-<br/>tion</u> | <u>Amount<br/>Approved<br/>(SDR million)</u> | <u>Drawn<br/>(SDR million)</u> |
|-------------|----------------------|-------------------------|----------------------------------------------|--------------------------------|
| Stand-by    | 3/23/94              | 3/22/95                 | 16.52                                        | 10.33                          |
| SAF         | 10/30/87             | 10/29/90                | 21.42                                        | 21.42                          |

VI. Projected Obligations to the Fund:

(SDR million; based on existing use of  
resources and present holdings of SDRs)

|                  | <u>Overdue<br/>6/30/95</u> | <u>Forthcoming</u> |             |             |             |             |
|------------------|----------------------------|--------------------|-------------|-------------|-------------|-------------|
|                  |                            | <u>1995</u>        | <u>1996</u> | <u>1997</u> | <u>1998</u> | <u>1999</u> |
| Principal        | --                         | 3.1                | 4.3         | 8.2         | 8.3         | 3.4         |
| Charges/interest | --                         | 0.6                | 1.0         | 1.0         | 0.7         | 0.5         |
| Total            | --                         | <u>3.7</u>         | <u>5.3</u>  | <u>9.2</u>  | <u>9.0</u>  | <u>3.9</u>  |



Chad - Relations with the Fund (concluded)

VII. Exchange Rate Arrangement

Chad is a member of the Central Bank of the Central African States (BEAC). The exchange system, common to all members of the BEAC, has been free of restrictions on payments and transfers for current international transactions. Repurchase of the CFA franc bank notes exported outside the BEAC was suspended on August 2, 1993. The BEAC common currency is the CFA franc, which is pegged to the French franc. Effective January 12, 1994, the CFA franc was devalued by 50 percent in foreign currency terms, and the exchange rate was adjusted from F 1 = CFAF 50 to F 1 = CFAF 100. On December 30, 1994, the rate of the CFA franc, in terms of the SDR, was CFAF 780.44 = SDR 1.

VIII. Article IV Consultations

(a) Chad is on the standard 12-month consultation cycle.

(b) Discussions for the 1994 Article IV consultation were held in N'Djaména during the period November 5-20, 1994. The staff report (SM/95/21) was discussed by the Executive Board on February 17, 1995 (EBM/95/17). A background paper (SM/95/31) was also circulated to the Board.

IX. Technical Assistance

- 1988: FAD mission on the preparation of a tax reform program.
- 1989: FAD mission on the preparation of a tax reform program.
- 1990: FAD mission for reviewing implementation of the tax reform program.
- 1991: FAD mission for reviewing implementation of the tax reform program.
- 1994: FAD mission for assessing weaknesses in customs administration and recruitment of an expert responsible for strengthening customs administration.

X. Resident Representative

None.

Chad - Relations with the World Bank Group

At the beginning of the Bank's support of structural adjustment in Chad, a Financial Rehabilitation Credit (FRC) was approved in July 1988. The objectives of the program were to re-establish the financial profitability of the cotton sector and to strengthen policy reforms in public finances. However, owing to the deteriorating fiscal performance, the FRC was suspended in July 1991. The residual balance was canceled in December 1992 and the credit was closed.

The Bank's strategy for Chad supports investments in the productive sectors (agriculture, livestock, and energy) as well as transport infrastructure. In 1994, particular emphasis has been given to the support of the devaluation with a US\$20 million Economic Recovery Credit (ERC) and the development of human resources and the strengthening of economic management (GEF).

A. Statement of IDA Credits  
(As of June 30, 1995)

(In millions of U.S. dollars)

| <u>Credit No.</u> | <u>Fiscal Year</u> | <u>Purpose</u>                              | <u>IDA</u> | <u>Undisbursed</u> |
|-------------------|--------------------|---------------------------------------------|------------|--------------------|
| Cr.18720          | 1988               | Economic and Financial Management           | 12.80      | 2.77               |
| Cr.19120          | 1988               | Livestock                                   | 18.60      | 5.32               |
| Cr.20070          | 1989               | Transport Sector Adjustment                 | 60.00      | 0.95               |
| Cr.21560          | 1990               | Social Development Program                  | 13.40      | 2.25               |
| Cr.21840          | 1991               | Engineering                                 | 11.00      | 5.70               |
| Cr.25010          | 1993               | Basic Education                             | 19.30      | 19.30              |
| Cr.25200          | 1993               | Transport Sector II                         | 37.00      | 24.70              |
| Cr.26140          | 1994               | Public Works and Capacity Building (ATETIP) | 17.94      | 16.22              |
| Cr.26260          | 1994               | Health and Safe Motherhood                  | 18.95      | 14.67              |

Chad - Relations with the World Bank Group (concluded)

| <u>Credit No.</u>                       | <u>Fiscal Year</u> | <u>Purpose</u>                | <u>IDA</u>    | <u>Undisbursed</u> |
|-----------------------------------------|--------------------|-------------------------------|---------------|--------------------|
| Cr.21561                                | 1995               | Social Development<br>Program | 9.80          | 9.80               |
| Cr.25201                                | 1995               | Transport Sector II           | 12.70         | 12.70              |
| Cr.26850                                | 1995               | Agricultural Services         | 24.53         | 24.53              |
| Cr.26920                                | 1995               | Population and Aids           | 20.40         | 20.40              |
| Total number of credits = 13            |                    |                               | <u>276.42</u> | <u>159.31</u>      |
| Total credit held from the Bank and IDA |                    |                               | <u>496.04</u> |                    |
| Of which: repaid                        |                    |                               | <u>13.35</u>  |                    |
| Total now held by the Bank and IDA      |                    |                               | <u>482.69</u> |                    |

B. Statement of IFC Investments

Chad is not a member of IFC.

C. Activities Under Preparation

In 1995, the World Bank will continue and expand its technical assistance program (Economic and Financial Management Project-GEF). Preparations are also under way for the eventual negotiation of a structural adjustment credit (SAC) that would accompany an ESAF-supported program of the Fund. Relevant Bank-related issues for the related policy framework paper and policy matrix are being examined). Moreover, a public expenditure review is to be concluded by September 1995. Finally, support to the Chad/Cameroon Petroleum Pipeline Project is under consideration.

Chad - Social Indicators, 1993

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|                                 |                          |
|---------------------------------|--------------------------|
| Population                      | 6.0 million              |
| Growth rate of population       | 2.5 percent per year     |
| Life expectancy                 | 47.9 years               |
| Fertility rate                  | 5.8 births per woman     |
| Infant mortality                | 120 per thousand         |
| Under five mortality            | 206 per thousand         |
| Child malnutrition (under five) | 35 percent of age group  |
| Access to safe water            | 26 percent of population |
| Population per physician        | 30,031 persons           |
| Population per nurse            | 3,396 persons            |
| Population per hospital bed     | 1,345 persons            |
| Immunization (IDPT)             | 18 percent               |
| Primary school enrollment       | 65 percent               |
| Female                          | 41 percent               |
| Male                            | 89 percent               |
| Secondary school enrollment     | 7 percent of age group   |
| Illiteracy rate (age 15+)       | 70 percent               |
| Newspaper circulation           | 0.3 per thousand         |
| GNP per capita                  | US\$210                  |

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Source: World Bank, Social Indicators of Development, May 1995.